



ACQLERATE

MODULE 5

# Capture Management & Business Development

*Master the art and science of winning government contracts.  
From opportunity identification through proposal submission.*

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5 Lessons · ~96 Minutes · Lesson Book Edition

## Course Lessons

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| 01 | The BD-to-Capture Lifecycle         | 15 min |
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## CAPTURE MANAGEMENT &amp; BUSINESS DEVELOPMENT · LESSON 1

# The BD-to-Capture Lifecycle

15 min

*Understand how leading defense firms identify, qualify, and pursue government contract opportunities.*

## How Defense Contractors Win Business

Winning government contracts is not an accident: it's a disciplined process that begins years before the RFP is released. The best capture managers are already executing their win strategy while competitors are just becoming aware of the opportunity. Understanding this lifecycle helps both government PMs (who interact with BD teams) and industry professionals who want to build winning capture programs.

*Six stages, one number climbing the whole way: your probability of win.*

## The BD-to-Award Pipeline

Where your opportunity sits determines what you should be doing right now.

- **Identify** Market research. No RFP yet. Pwin < 20%.
- **Qualify** Go/no-go decision. Customer access. Pwin 20-40%.
- **Shape** Influence requirements. Build discriminators. Pwin 40-60%.
- **Capture** Black hat. Teaming. Win strategy locked. Pwin 60-75%.
- **Propose** Write and submit. L&M discipline. Pwin 75%+.
- **Award** Contract awarded. Program execution begins.

*Most contractors enter the pipeline at "Propose" and wonder why they lose. Winning contractors are in the conversation 18-24 months before the RFP drops.*

## The BD-to-Capture-to-Proposal Lifecycle

Each phase builds on the last. Tap any phase to see what it involves, who performs it, and what it produces.

**Phase 1: Opportunity Identification** < 20% PWIN

Market research, relationship building, forecast monitoring

The pipeline starts here. BD teams mine government forecasts and build customer relationships before any solicitation exists.

**What Is It?**

Opportunity Identification (OI) is the systematic process of finding potential contracts before they reach the market. At this stage, nothing has been formally competed: the government is still forming requirements or hasn't yet issued a solicitation. Pwin is low because the company hasn't yet assessed strategic fit or competitive position.

**How Is It Performed?**

- Monitoring government forecasting tools: SAM.gov, GovWin IQ, BGOV, USASpending.gov for expiring contracts and new programs
- Attending industry days, pre-solicitation conferences, and AFCEA/AUSA events
- Building relationships with government program offices, contracting officers, and requirements owners
- Tracking Congressional budget justification books (RDT&E, Procurement, O&M) for new program funding
- Analyzing incumbent contract expiration dates (recompete windows 12-24 months out)
- Receiving internal tips from employees embedded on program teams (CORs, ACOs, technical advisors)

**Who Performs It?**

- Business Development (BD) Managers: primary owners of the pipeline
- Account Managers: relationship owners for specific government accounts
- Senior executives who have relationships with Program Executive Officers (PEOs) and Component Acquisition Executives (CAEs)
- Program alumni who transitioned from government to industry (must observe ethics cooling-off periods)

**Key Outputs**

- **Deliverable** Opportunity Brief / Pipeline Entry
- **Decision Gate** Pipeline Add / No-Add
- **Pwin Range** < 20% (unqualified)
- **Resources Used** BD hours only: minimal investment

**Phase 2: Qualification (Gate Review)** 20–30% PWIN

Go/No-Go decision: should we invest B&P dollars in this pursuit?

The gate review is the company's governance checkpoint where leadership decides whether to commit real resources. A disciplined No-Go here saves far more money than a half-hearted proposal later.

**What Is It?**

Qualification is the formal internal review process to determine whether an opportunity is worth pursuing. It converts an unqualified pipeline entry into an active capture investment: or saves the company from wasting B&P on an unwinnable pursuit. This is the most strategically important gate in the capture process.

**How Is It Performed?**

- BD manager presents the opportunity to a Capture/Growth leadership team (often VP-level)
- Team scores the opportunity against qualification criteria: strategic fit, Pwin, customer relationship health, past performance relevance, competitive landscape
- Financial analysis: estimated contract value vs. required B&P investment; expected ROI
- Resource check: do we have the people, clearances, and facilities to perform this work?
- A formal Go/No-Go decision is documented: not a verbal agreement
- If 'Go': a Capture Manager is assigned and B&P budget is allocated

**Who Performs It?**

- Capture Review Board or Growth Board: typically VP/Director-level leadership
- BD Manager: presents the opportunity brief
- Capture Manager (if already assigned): provides early strategy assessment
- Finance: provides B&P budget analysis and ROI projection
- Contracts: reviews acquisition strategy, contract type, and competitive environment

**Qualification Criteria (What Gets Scored)**

- Strategic alignment: Does this fit our core competencies and growth strategy?
- Customer relationship: Do we have meaningful access? Or are we starting cold?
- Competitive position: How many competitors? Is there an incumbent? What's our realistic Pwin?
- Past performance: Do we have relevant, recent past performance to reference?
- Resource availability: Can we staff this contract if we win? Do we have the clearances?
- Financial threshold: Is the expected TCV (Total Contract Value) worth the B&P investment?

**Key Outputs**

- **Deliverable** Go/No-Go Decision + Capture Assignment
- **B&P Approved** Yes (Go) or No (No-Go/Monitor)
- **Pwin Range** 20-30% (qualified but pre-strategy)

- **Timeline** Ideally 18-36 months before RFP

### Phase 3: Capture 30–50% PWIN

Customer engagement, win strategy, Black Hat, teaming

This is where the real work happens. The Capture Manager drives customer intelligence, competitive analysis, and win strategy: shaping the opportunity before the RFP drops.

#### What Is It?

Capture is the sustained, resource-intensive effort to position your company to win a specific opportunity. It spans from the Go decision through RFP release. The goal: make the RFP read like your proposal. Every action in capture: customer meetings, white papers, demos, teaming agreements: is designed to improve competitive position before the competition formally starts.

#### Key Capture Activities

- Customer call plan: Scheduled visits with program office, COR, end users, contracting: understanding their real priorities (not just what's in the draft PWS)
- Competitive intelligence: Who will bid? What are their past performance strengths? What price will they target?
- Black Hat review: Your team role-plays as the primary competitor: developing their proposal strategy to expose your vulnerabilities
- Win strategy development: Define 3-5 win themes tied to customer hot buttons and competitor weaknesses
- Solution development: Technical approach concepts, staffing strategy, draft management approach
- Teaming decisions: Identify sub partners who add capability, vehicle access, or diversity credits
- Price-to-Win (PTW) analysis: What price will win? Build a competitor cost model
- Shaping activities: White papers, RFI responses, demo opportunities, industry day Q&A submissions

#### Who Performs It?

- Capture Manager: overall strategy lead and customer engagement coordinator
- Technical SMEs: solution development, demo execution, white paper authoring
- Pricing Analysts: PTW model, rough order of magnitude (ROM) cost build
- Contracts/Legal: teaming agreement negotiation, OCI analysis
- BD Manager: executive-level relationship maintenance and intelligence
- Proposal Manager (if assigned early): begins compliance planning

#### Key Outputs

- **Deliverable** Capture Plan (living document)
- **Also Produces** Black Hat results, PTW model, teaming agreements, win themes
- **Pwin Range** 30-50% (strategy defined)
- **B&P Burn Rate** Moderate-High: team hours accumulating

## Phase 4: Proposal Development 50-70% PWIN

Writing, Pink/Red/Gold color team reviews, pricing, compliance

The proposal phase converts the capture strategy into a compliant, compelling document. Color reviews (Pink, Red, Gold) are structured quality gates: each with a specific focus and audience.

### What Is It?

Proposal development is the structured process of producing a compliant, persuasive response to the government's RFP. It's a high-intensity, deadline-driven effort involving technical writers, subject matter experts, pricing analysts, graphics artists, and senior reviewers. The best proposals tell a clear story: "Here is your problem. Here is our solution. Here is why we're the best team to execute it."

### The Color Team Review Cycle

- **Pink Team (30-40% draft):** Reviews outline and early narrative for compliance and strategy alignment. Catches structural problems before writing is complete. Reviewers: capture lead, proposal manager, one SME per volume.
- **Red Team (75-90% draft):** The most rigorous review. Evaluates the near-final proposal from the government evaluator's perspective: compliance, clarity, win themes, discriminators, ghost strategies. Reviewers: Senior staff not involved in writing (fresh eyes). Output: Red Team report with actionable findings.
- **Gold Team (95-100%):** Final senior leadership review. Not a line-edit: focuses on executive summary, win themes, overall narrative strength, and price strategy. Decision-makers verify the proposal represents the company's best value. Reviewers: VP/Director level, BD lead, capture manager.
- **Pink-2 / White Glove (optional):** Final production review for formatting, pagination, graphics quality, and printing/upload compliance.

### What Happens at a Red Team?

- Reviewers receive the near-complete draft plus the RFP (Sections L & M) and evaluation criteria
- Each reviewer scores the proposal against Section M criteria independently, then compares findings
- The Red Team Lead runs a debrief session documenting strengths, weaknesses, and risks
- Output: A prioritized list of findings ranked by impact: not just 'make this better' but 'this will cost you the award'
- Proposal Manager translates findings into specific revision taskers with owners and due dates

### Key Outputs

- **Deliverable** Final compliant proposal (all volumes)
- **Review Gates** Pink → Red → Gold → Production
- **Pwin Range** 50-70% (post-RFP, post-pricing)
- **B&P Burn Rate** Maximum: full team sprint

## Phase 5: Negotiation & Award AWARD OR LOSS

BAFO, discussions, final proposal revision, award

After evaluation, the government may open discussions. Best and Final Offer (BAFO) is your last chance to sharpen your position before award. Win or lose, the debrief is critical intelligence for the next pursuit.

### What Is It?

After initial evaluation, the government may determine a competitive range and open discussions. Discussions are the government's opportunity to clarify deficiencies and significant weaknesses: and your opportunity to recover from proposal errors or sharpen your price. BAFO (Best and Final Offer, also called Final Proposal Revision in FAR terminology) is your final submission.

### The Discussion / BAFO Process

- Government issues Evaluation Notices (ENs) identifying deficiencies, significant weaknesses, or clarifications
- Offerors respond to ENs: correcting errors and strengthening weak areas
- Price discussions may occur: government may signal price is too high or outside competitive range
- BAFO request issued: a specific due date for final revisions (technical and price)
- Proposal team prepares targeted revisions: no wholesale rewrites, only EN-driven changes
- Final price submission: this is the price you'll live with for the contract period

### Post-Award: Whether You Win or Lose

- Win: Transition plan execution, contract kickoff, staffing actions: capture team hands off to program team
- Loss: Request a debrief within 3 days of award notice (FAR 15.506: government must provide a written debrief)
- Debrief intelligence: Government will tell you your evaluation scores, strengths, weaknesses, and winner's scores
- Loss analysis: Was the loss on technical, price, or past performance? This drives the next capture strategy
- Protest decision: Did the government follow proper procedures? GAO protest deadline is 10 days after debrief

### Key Outputs

- **Win Path** Contract award + transition
- **Loss Path** Debrief + lessons learned + next pursuit
- **Protest Window** 10 days post-debrief (GAO)
- **Pwin Realized** 100% (win) or 0% (loss)

### THE SHAPING WINDOW

The most impactful capture work happens BEFORE the RFP drops. During the shaping window, smart capture managers engage government stakeholders (within the boundaries of procurement integrity), suggest evaluation criteria that favor their firm's differentiators, help define requirements that their solution already meets, and understand the incumbent's weaknesses. Once the RFP is released, the opportunity to shape the competition is 95% closed.

## Building a Winning Capture Plan

- **Customer profile: Who are the decision-makers? What do they care about most?** Decision-maker mapping is BD fundamentals. The person who signs the contract (CO) is rarely the same as the person who defines requirements (program office) or evaluates proposals (SSEB). The capture manager must map all three layers: and track their priorities, concerns, and relationship with potential competitors. A capture plan without a contact matrix is incomplete.
- **Competitive analysis: Who will bid? What are their strengths and vulnerabilities?** Competitive analysis ("Black Hat" in proposal parlance) means honestly assessing what your competitors will propose. What past performance will they cite? What technical approach will they take? Where are they weak? This analysis should inform your win themes: where you are genuinely superior: and your proposal strategy. Ignore competitive intelligence at your peril.
- **Win themes: 3-5 compelling reasons why your solution is the best choice for this customer** Win themes are the narrative spine of the proposal. They must be customer-focused (not company-focused), specific (not generic), and defensible (tied to actual capabilities or past performance). "We have extensive experience" is not a win theme. "Our 12-year incumbent team reduced program operating costs 18% through proactive supply chain management" is a win theme.
- **Discriminators: What can your firm do that competitors cannot? (or do demonstrably better)** Discriminators are the specific capabilities, past performance outcomes, team members, methodologies, or tools that set your firm apart. They must be real: evaluators are sophisticated and will challenge vague claims. The best discriminators are things that are verifiable (cited in existing CPARS, demonstrated in past deliverables, or evident from key personnel experience).
- **Team strategy: Prime vs. sub; which partners add capability, contract vehicles, or customer relationships?** Teaming strategy is a competitive lever. The right sub brings: (1) specific technical capability the prime lacks; (2) a socioeconomic designation that meets a set-aside requirement; (3) a vehicle position (e.g., OASIS+ or relevant agency IDIQ); (4) existing customer relationships and past performance. The wrong sub adds overhead, dilutes the narrative, and creates performance risk.
- **Price-to-win (PTW): What price position will win? (Not your cost: the price that wins)** PTW analysis works backward from the competitive landscape. What are competitors likely to propose? What does the government's IGCE suggest as their budget target? What price point would result in award? PTW is then compared to your internal cost estimate: if PTW is below your costs, you have a strategic decision about whether and how to bid. PTW analysis should drive cost reduction efforts, not just document a gap.

- **Risk assessment: What could derail this capture? What's the mitigation?** Capture risk assessment identifies the factors that could prevent award: incumbent advantage, competitor with better past performance, pricing below market, requirement written around a competitor's solution, internal resource constraints during proposal. Each risk should have a mitigation action: shaping the requirement through industry engagement, building a stronger team, investing in price reduction.

#### BLACK HAT REVIEWS

A "Black Hat" review is when your team role-plays as your competitor: developing their proposal strategy, win themes, and pricing approach as if you were them. This forces you to honestly assess your competitor's strengths and identify vulnerabilities in your own approach. The best black hats are brutal; if yours is comfortable, you're not being honest enough about the competition.

#### INTERMEDIATE

### Gate Review Discipline: When to Kill a Pursuit

Mid-career BD professionals understand that the hardest decision in capture management is walking away. B&P budgets are finite; every dollar spent on a low-Pwin pursuit is a dollar not spent on a winnable one. Gate reviews must be decision events. Not status updates where management hears bad news and says "let's see how it goes." Build gate criteria that force the decision: what is the minimum Pwin below which we do not pursue? What customer access requirements must be met by Stage 2? If a \$50M opportunity has no customer access 90 days before RFP, the Pwin is probably below your threshold. And the BD team knows it. Create a gate review culture where "no pursue" decisions are celebrated as resource discipline, not treated as failures.

#### ADVANCED

#### PIPELINE ARCHITECTURE: BUILDING A SUSTAINABLE BD ENGINE

Senior BD executives architect the pipeline to create predictable revenue. Not just chase the next opportunity. A healthy pipeline has: (1) a 3-5x coverage ratio (pipeline value 3-5x annual revenue target); (2) stage-gate distribution, 40-50% in Stage 1 (early), 30-40% in Stage 2 (capture), 20-30% in Stage 3 (proposal); (3) diversification by customer, contract type, and competitive position (not 80% incumbent). The failure mode: a pipeline where 60% of value is in a single re-compete that has an incumbent advantage. If you lose it, revenue craters. Architect the pipeline with a forcing function: if any single opportunity represents more than 30% of your pipeline value, you have a concentration risk that needs immediate diversification.

### MANAGING YOUR PIPELINE: CRM TOOLS FOR BD TEAMS

A spreadsheet is not a pipeline. Once you have more than 10 active opportunities, you need a Customer Relationship Management (CRM) tool to track stages, actions, and relationships. The most common in defense BD: **Salesforce (GovCon edition)**: The industry standard for larger contractors. Tracks opportunities from identification through award, manages contacts and account relationships, forecasts revenue, and integrates with proposal tools. Salesforce Government Cloud is FedRAMP-authorized for organizations handling sensitive data. Most large primes (Leidos, SAIC, Booz Allen) run their BD pipelines in Salesforce. **GovWin IQ + CRM integration**: GovWin (by Deltek) provides market intelligence and plugs into CRM systems. Pulls opportunity data, agency budgets, and incumbent information directly into your pipeline. **Microsoft Dynamics 365**: Common in mid-size contractors. Similar to Salesforce. Strong integration with Office 365 tools your capture team already uses. **Simpler options for small businesses**: HubSpot (free tier), Pipedrive, or even a structured Excel/Google Sheets template are reasonable starting points before committing to enterprise CRM costs. The discipline matters more than the tool. A well-maintained spreadsheet beats a poorly-used Salesforce instance every time.

### What to Track in Your CRM for Every Opportunity

- **Opportunity name, agency, contracting office, and NAICS code** The NAICS code determines set-aside eligibility and helps you filter SAM.gov alerts. The contracting office (PCO name if known) is the most valuable relationship field in your CRM: track every interaction.
- **Estimated value and period of performance** Pipeline value drives resource allocation decisions. If you can only estimate a range, track low/high/most likely. Update when market research improves your estimate.
- **Anticipated RFP date and award date** Track both. The RFP date determines when proposal resources must be available. The award date determines when revenue starts. Both are routinely delayed: flag when they slip more than 60 days.
- **Pipeline stage: Identify → Qualify → Capture → Proposal → Award** Every opportunity should have a clear stage. Gate reviews happen at stage transitions. If an opportunity has been in Capture for 6 months with no stage movement, it needs a Pwin reassessment.
- **Pwin (Probability of Win) and last update date** Pwin is not a set-and-forget number. Update it when you get new customer intel, when a competitor announces a teaming win, when the scope changes, or when the incumbent stumbles. A Pwin that hasn't been updated in 90 days is probably stale.
- **Key contacts and last engagement date** Track the name, role, and last contact date for every relevant government stakeholder: program office, contracting officer, technical lead, small business rep. If you haven't engaged a key contact in 60+ days, you're losing ground to competitors who have.
- **Incumbent contractor and contract number** Knowing the incumbent tells you who you're displacing and lets you pull their past performance on USASpending.gov. The contract number lets you pull the exact award value, period, and modifications: critical for sizing your bid.

## ADVANCED

**WHAT SENIOR PMS DO DIFFERENTLY**

They enforce gate reviews with real kill authority and measure bid-to-win ratio rather than bid volume, because a team that never walks away is spreading a fixed B&P budget across pursuits it cannot win, and the cost shows up as thin proposals on the ones it could have.

One sentence to teach your team: **capture is won in the shaping window before the RFP drops, so a pursuit that starts when the solicitation posts is not a pursuit, it is a donation to your competitor's win rate.**

**BUILD ON THIS**

- **Proposal Development & Win Strategy** Turning a capture plan into a submitted proposal
- **Section L vs. Section M** What the solicitation actually asks you to prove
- **Market Research** The same window from the government's side

## Key Terms

### Pipeline

The portfolio of all opportunities a company is tracking at various stages of pursuit.

### Pwin

Probability of Win. An estimate of the likelihood of winning a given opportunity.

### B&P

Bid & Proposal. Funding spent pursuing a specific opportunity (not chargeable to government contracts).

### Opportunity Qualification

The process of deciding whether to invest BD resources in pursuing an opportunity (gate review).

### Incumbent

The contractor currently performing work on a contract being re-competed.

### Shaping

Influencing the RFP requirements, scope, and evaluation criteria before the solicitation is released.

### Price to Win (PTW)

An analysis of what price is likely to win given the competition and the evaluation scheme, built independently of what the work costs you.

### Gate Review

A structured decision point where leadership commits or withdraws B&P funding for a pursuit. Its value comes entirely from the willingness to say no.

### Black Hat Review

A session where your own team role-plays competitors to predict their strategy, pricing and themes, so your proposal can be built against them.

### Pipeline Coverage Ratio

Qualified pipeline value divided by the revenue target for a period. A healthy business carries several times its target to absorb normal loss rates.

## Knowledge Check

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The "shaping window" in defense capture management refers to:

- A. The final week before proposal submission
- ✓ B. The period before RFP release when capture managers can influence requirements and evaluation criteria
- C. The competitive range determination phase
- D. The period after contract award when pricing is finalized

### WHY

The shaping window is the pre-RFP period when companies legally engage with government stakeholders to understand requirements, provide industry input, and potentially influence how requirements are written and evaluated. Once the RFP is released, the ability to shape the competition is largely foreclosed.

A "Black Hat" review in capture management is used to:

- A. Conduct a security review of proposal sensitive information
- ✓ B. Role-play competitor strategy to identify your vulnerabilities and their likely approach
- C. Evaluate the cost/price elements of the proposal
- D. Review the proposal for compliance with Section L

### WHY

A Black Hat review involves your team acting as the competition: developing their proposal strategy, strengths, win themes, and pricing approach as if you were them. This reveals your own vulnerabilities, helps counter competitor discriminators in your proposal, and creates more realistic Pwin assessments.

**B&P (Bid & Proposal) costs are:**

A. Reimbursable by the government as a direct contract cost

✓ **B. Company-funded investments in pursuing specific opportunities, not chargeable to government contracts**

C. Included in indirect overhead pools

D. Only applicable to cost-plus contracts

**WHY**

B&P costs are the company's investment in pursuing a specific opportunity: proposal writing, customer engagement, pricing analysis. These are NOT directly chargeable to government contracts. They are typically funded from company overhead pools (G&A or B&P pools) and represent a significant strategic investment, often 1-3% of revenue for major defense firms.

**The "Price to Win" (PTW) analysis in capture management determines:**

A. The contractor's cost to perform the work

✓ **B. The price point at which your proposal will be competitive and most likely to win, based on competitor pricing analysis**

C. The government's independent cost estimate

D. The minimum acceptable profit margin

**WHY**

PTW is the price at which you expect to win based on competitive analysis: not your internal cost estimate. A PTW significantly higher than your internal cost suggests strong competitive position; one lower than your cost requires a decision about whether to compete, reduce costs, or accept lower margin. PTW drives pricing strategy and team composition decisions.

**In the BD-to-Capture lifecycle, what is the primary purpose of the "gate review" or opportunity qualification process?**

A. To review the draft proposal for compliance

**✓ B. To make a disciplined go/no-go decision on whether to invest B&P resources in pursuing an opportunity**

C. To evaluate subcontractor qualifications

D. To finalize the teaming arrangement

#### WHY

The gate review is the company's governance process for allocating limited B&P resources. It evaluates strategic fit, competitive position, Pwin, customer relationship, and resource availability. A "no-go" decision is not a failure: it conserves B&P investment for higher-Pwin opportunities. Companies that pursue every opportunity without qualification waste resources on long shots.

**Pwin (Probability of Win) in defense capture management is important because:**

A. It is a contractual requirement that must be documented

**✓ B. It drives resource allocation decisions: higher Pwin opportunities justify more B&P investment**

C. It determines the contractor's profit margin on the contract

D. It is used by the government to evaluate offeror qualifications

#### WHY

Pwin guides B&P resource allocation. A 70% Pwin opportunity justifies significant investment; a 15% Pwin opportunity may not. Pwin should be continuously updated as new information emerges: customer intel, competitive developments, RFP changes. An honest, data-driven Pwin assessment is a sign of mature capture management.

During capture management, "teaming" decisions are made to:

A. Satisfy DCMA contract administration requirements

✓ **B. Add capability, past performance, or diversity qualifications that strengthen the prime's proposal position**

C. Meet internal headcount goals

D. Reduce the amount of B&P investment required

#### WHY

Teaming decisions are strategic: companies partner with firms that add critical capabilities the prime lacks, bring relationships with the customer, provide small business credits, add key personnel with relevant experience, or hold contract vehicles the prime cannot access. The best teams are built to win, not assembled as an afterthought.

The "incumbent" advantage in a contract re-competition is significant because:

A. The government is required to award the follow-on to the incumbent

✓ **B. Incumbents have superior program knowledge, established customer relationships, and lower risk perception**

C. Incumbent pricing is automatically accepted as fair and reasonable

D. Incumbents are exempt from past performance evaluation

#### WHY

Incumbents have significant advantages: deep knowledge of the program, established customer trust, a staffed team already in place, and an in-place performance record. For challengers, displacing a performing incumbent requires compelling discriminators and a clear articulation of why the new team will perform better. Incumbent win rates on re-competes often exceed 70%.

**A "Gold Team" review in proposal development is typically the:**

A. First internal review of the proposal outline

✓ **B. Final senior leadership review of the near-final proposal before submission**

C. Government's evaluation of the submitted proposal

D. Pricing team's review of cost volumes

**WHY**

In the standard defense proposal review cycle: Pink Team reviews the draft, Red Team reviews the near-final draft for compliance and quality, and Gold Team is the final senior leadership review of an essentially complete proposal. Gold Team focuses on win themes, discriminators, and executive summary: not line editing.

**Win themes in a capture plan should be:**

A. Generic statements about quality and past performance that apply to any proposal

✓ **B. Specific, customer-validated reasons why your solution best addresses THIS customer's most important needs**

C. Primarily focused on price competitiveness

D. Developed after the RFP is released based on Section M criteria

**WHY**

Win themes must be specific to the customer and opportunity: generic themes like "we are a quality company with excellent past performance" are meaningless in a competitive environment. Effective win themes are customer-validated (you know this is what the customer cares about), tied to your discriminators (you can do this better than competitors), and ghost competitor weaknesses (they cannot match you here).

**A capture manager has a 90 percent bid rate and a 12 percent win rate. What does a senior BD executive conclude?**

A. The team is appropriately aggressive

**✓ B. The team is not qualifying, so B&P is being spread thin across pursuits that were never winnable and the winnable ones are underfunded**

C. Win rate is irrelevant

D. The pipeline is too small

**WHY**

Bidding everything is the same as having no strategy. A disciplined shop bids less and wins a much higher fraction of what it bids.

**Why does incumbency create advantage that goes beyond relationships?**

A. Incumbents are legally favored

**✓ B. Because the incumbent holds operational knowledge, recent relevant past performance on that exact work, and a cost basis nobody else can price against precisely**

C. Incumbents get extra evaluation points

D. Incumbents write the RFP

**WHY**

The advantage is informational and evidentiary, not procedural, which is also why a complacent incumbent can lose it.

## CAPTURE MANAGEMENT &amp; BUSINESS DEVELOPMENT · LESSON 2

## Section L vs. Section M

28 min

*Understand the difference between Section L (instructions) and Section M (evaluation criteria), how to structure a winning proposal around Section M, and the difference between LPTA and best-value acquisitions.*

### What Section L and Section M Actually Are

Section L is the instructions section of an RFP: it tells you exactly how to format, organize, and submit your proposal. Section M is the scoring rubric: it tells you exactly how the government will evaluate and rank what you submit. Every federal solicitation is organized by the Uniform Contract Format (UCF), FAR 15.204-1. Most sections describe requirements: Sections L and M are different. They describe HOW the government will evaluate and select the winner. Winning proposals are built from M backward through L. Losing proposals are built from the SOW forward and hope M matches.

### Section L: Instructions, Conditions, and Notices to Offerors

Section L is the "how to turn in your homework" document. It governs format, not content.

**What Section L IS** PROCEDURAL

The proposal packaging and format instructions

Section L tells offerors exactly what to submit, how to format it, and how long it can be. Violating it can get your proposal rejected without evaluation.

- **"Volume I: Technical Approach, not to exceed 50 pages, 12pt Times New Roman, 1-inch margins"**

Correct. Volume I contains the technical approach: typically the highest-weighted evaluation factor. Page limits are strictly enforced; a non-compliant submission may be deemed non-responsive. Every page should directly support a strength evaluation against Section M criteria.

- **"Volume II: Management Approach, not to exceed 25 pages"** Correct. The Management Volume demonstrates the contractor's ability to organize, staff, and execute. Key elements: organizational chart, key personnel resumes, program management methodology, risk management approach, quality assurance plan, and subcontractor management strategy.

- **"Volume III: Past Performance, provide up to 3 references using the government-provided form"** Correct. Past performance is evaluated using CPARS data and submitted references. Select references that are: (1) recent (within 3-5 years), (2) relevant (similar scope, complexity, contract type), and (3) had excellent CPARS ratings.

- **"Volume IV: Price/Cost, no page limit, must include completed DD Form 1423 (CDRLs)"** Correct. The Price/Cost Volume must be complete, consistent with the technical approach, and independently auditable. Key elements: labor category hours by WBS, basis of estimate, direct labor rates, indirect rates, other direct costs, and required government forms.

- **"All volumes must be submitted via SAM.gov by 4:00 PM EST on [date]"** Correct. Proposal submission requirements are strictly enforced. Late proposals are typically rejected. (A September 2026 FAR overhaul proposal would let COs accept a late one when it serves the government and will not delay award. Until that is final, assume late is late.) SAM.gov submission requires advance registration and testing, submit a day early to allow for technical issues. Time zone matters, EST vs. EDT can cause a missed deadline.

Section L compliance is binary. A proposal violating page limits, font requirements, or missing required forms can be rejected as non-responsive WITHOUT evaluation. The CO generally has no discretion to waive administrative non-compliance.

- **Page Count Trap** Government counts pages differently. Know what "page" means in this specific L.
- **Exhibit Counting** Some Ls say figures and tables count toward page limits. Others exclude them. Read carefully.
- **Font Rules** Many Ls say "12pt minimum in all body text." Know whether headers and captions are exempt.
- **Responsive vs Compliant** "Responsive" = meets submission requirements. "Compliant" = meets technical requirements. You must be both.

### The Most Common Proposal Mistake: Confusing L with M WARNING

Section L does not tell you what the government wants to evaluate

Section L only controls proposal format. Section M controls what is scored. If you write to L without reading M, you are guessing.

- **Section L says: "Describe your staffing plan." Section M says staffing is NOT an evaluation factor. Your staffing section will be read for compliance only, not scored. Keep it short.** Correct. Section M defines what wins points; Section L defines what is required for compliance. When Section M does not list staffing as a factor, the staffing section is a pass-fail compliance element, not scored. Extensive page count on non-scored sections wastes limited page count.
- **Section L says: "Describe your technical approach." Section M has three sub-factors: Innovation (15%), Risk Mitigation (25%), Schedule Realism (20%). Your technical approach must address each sub-factor with sub-headers that mirror M language.** Correct. Structure the technical volume around Section M's evaluation sub-factors. Use the exact M language as sub-headers, evaluators are scored against Section M, so they need to find information quickly. Innovation, Risk Mitigation, and Schedule Realism each need dedicated sections with evidence and discriminators.
- **Winning proposals use M as the writing guide and L as the compliance checklist.** Correct. This is the master principle of proposal writing. Section M defines what evaluators score. Section L defines what must be included for compliance. Write to Section M. Check against Section L. Never reverse this.

## Section M: Evaluation Factors for Award

Section M is the scoring rubric. Build your entire proposal architecture from M backward.

### What Section M IS MOST IMPORTANT

The scoring rubric: what the SSEB grades you on

Section M defines the factors, sub-factors, and relative order of importance the SSEB uses to evaluate proposals. FAR 15.304 requires this transparency.

- **Factor 1: Technical (Most Important)** 1.1: Understanding of Requirements; 1.2: Technical Solution; 1.3: Risk Mitigation
- **Factor 2: Management (Equal to Past Perf)** 2.1: Program Management Plan; 2.2: Key Personnel; 2.3: Transition Plan
- **Factor 3: Past Performance (Equal to Mgmt)** Relevance and quality of recent similar contracts.
- **Factor 4: Price (Not Scored)** Evaluated for reasonableness and realism. Not rated on a scale.

Mirror Section M factor structure as your proposal section headers. Evaluators use M as a checklist. Matching your headers to their factors makes it easy to credit your strengths.

**Adjectival Ratings: Outstanding to Unacceptable** KNOW THESE COLD

How the SSEB scores your proposal

The government uses adjectival ratings, not numeric scores. Understanding these drives how you write.

- **Outstanding** Exceptional strengths significantly benefiting the government. Very low risk. Requires multiple Strengths, zero Weaknesses.
- **Good** Thorough approach. At least one Strength. Low risk.
- **Acceptable** Meets requirements. No strengths, no significant weaknesses. Moderate risk.
- **Marginal / Unacceptable** Fails to meet requirements. Has Significant Weaknesses or Deficiencies.

"Acceptable" is a losing rating in a competitive field. When all offerors are Acceptable, price wins. You must write to earn Strengths. Aspects that EXCEED requirements with documented, quantifiable benefit to the government.

- **A Strength must EXCEED the requirement. "We will provide monthly status reports" meets a requirement. "We will provide a real-time dashboard with threshold alerts 48 hours before a schedule variance becomes actionable" earns a Strength.** Correct. SSEB members are looking for strengths, features that exceed requirements and provide measurable benefit. Meeting requirements earns 'Acceptable', not a strength. Every discriminating element should clearly exceed the stated requirement in a specific, verifiable way.
- **Strengths must be documented: evaluators can only credit what they can see and quote.** Correct. Source selection decisions are legally defensible only when based on documented evaluation. If an SSEB member believes a proposal feature is a strength but cannot quote specific text, the strength cannot be formally recorded. Every strength must be explicitly stated in the proposal.
- **Use the Government exact M language as section headers.** Correct. Using Section M language as proposal headers makes evaluators' jobs easier, they can immediately locate information relevant to their scored sub-factor. It also reduces the risk that evaluators miss a strength because they could not find the relevant section.
- **Each sub-factor needs at least one discriminating element your competitors cannot match.** Correct. Discriminators are the strategic heart of proposal writing, a feature or capability only your team can credibly offer. Proposals without discriminators earn 'Acceptable' across the board, which loses to a proposal with even one genuine strength.

**Best Value vs. LPTA: Two Completely Different Strategies** STRATEGY

The evaluation method determines your entire bid strategy

Whether the government uses best-value tradeoff or LPTA is stated in Section M and drives your pricing strategy as much as cost estimating.

- **Best Value Tradeoff** Technical superiority CAN justify a higher price. SSA decides if the premium is worth it. Strategy: be technically outstanding and price competitively.
- **LPTA** Once minimum technical standards are met, lowest price wins. Strategy: price wins everything: do not over-invest in technical differentiation.
- **LPTA Warning** DoD has reduced LPTA usage since 2017 NDAA because it rewards lowest cost over best capability. Know when to challenge an inappropriate LPTA determination.
- **Best Value Warning** A \$10M technical premium is only worth it if the SSA believes it provides more than \$10M in benefit. Know your Price to Win.

**THE WINNING PROPOSAL PROCESS**

Step 1: Read M first. Identify every factor, sub-factor, and order of importance. Step 2: Build outline from M factors as section structure. Step 3: For each M sub-factor, draft 1-3 discriminating points. Step 4: Use L page limits to size investment. More pages to higher-weighted factors. Step 5: Compliance-check against L before submission.

**INTERMEDIATE****Using Section L as a Compliance Matrix, Not Just Instructions**

Mid-career proposal managers build their proposal outline directly from Section L. Every instruction becomes a heading, every deliverable requirement becomes a checklist item. But the compliance matrix is the floor, not the ceiling. The government wrote Section L to describe the minimum information needed; it didn't write it to describe a winning proposal. After ensuring 100% Section L compliance, ask: what information would a SSEB evaluator want that Section L didn't require? Discriminating proposals add value beyond compliance. The most common mid-career error: a proposal that is perfectly compliant but says nothing that an Outstanding evaluator would score above Acceptable. Compliance is table stakes; evaluation excellence is the goal.

**Read M First, Then L, Then Write to M**

Section L tells you what to submit and Section M tells you how it will be scored, and most losing proposals are written in that order. Reversed, the work gets easier: read Section M to find what the government says it values and in what relative order, then read Section L as the delivery mechanism for that evidence. Where the two disagree, and they often do, the government is obliged to evaluate against M, but you still have to

comply with L to be responsive. So you answer L's structure while making sure every M factor has a clearly labeled home. Evaluators score by factor with the solicitation open beside them. A proposal organized around the evaluation factors is one an evaluator can grade without hunting, and hunting is where scores get lost.

## The Compliance Matrix Is the Outline

Before anyone writes a word, build a table with one row for every instruction in L and every factor and subfactor in M, and columns for where it is answered, who owns it, and what evidence supports it. Two things fall out of this immediately. First, the gaps: requirements with no owner, or factors with nothing but an assertion behind them. Second, the outline, because the matrix becomes the proposal's section structure. Teams that skip this write beautiful prose that misses a subfactor and take an unacceptable rating on something they could do in their sleep. The matrix also survives the inevitable late amendment: when the government changes Section L two weeks before submission, you update rows rather than reorganizing a finished document.

## What Evaluators Reward, and What They Actually Do With It

| IN THE PROPOSAL                                | WHAT THE EVALUATOR DOES        | HOW TO EARN THE STRENGTH                                   |
|------------------------------------------------|--------------------------------|------------------------------------------------------------|
| Unsupported claim of expertise                 | Notes it, scores nothing       | Name the program, the scope, the outcome, the customer     |
| Feature with no benefit stated                 | Neutral finding                | State the benefit to this requirement, in their words      |
| Risk section listing generic risks             | Neutral, sometimes a weakness  | Name the two real risks and what you will do about them    |
| Past performance not relevant in size or scope | Discounted                     | Choose relevance over prestige; explain the similarity     |
| Staffing plan without named people             | Weakness on many solicitations | Name who you can name; describe how you will fill the rest |

**ADVANCED****SECTION M AS A NEGOTIATING DOCUMENT: SHAPING EVALUATION CRITERIA PRE-RFP**

Senior BD professionals know that the best time to influence Section M is before the RFP is released. Industry Days, RFIs, and pre-solicitation meetings are opportunities to educate the government program office on what evaluation criteria will produce the best outcome. If you have a capability that competitors lack. A proven management approach, unique past performance, specific technical solution. You want the evaluation criteria to reward it. This is legal and expected; government contracting officers solicit industry input on acquisition strategy specifically because they lack full market knowledge. The line: you can advocate for evaluation criteria that discriminate on merit. You cannot suggest criteria designed to exclude a specific competitor by name or criteria that only your company could meet.

**Answering an Evaluation Notice**

When discussions open, the government sends written notices identifying weaknesses or seeking clarification. These are the highest-leverage pages you will write in the whole competition, and the common failure is defensiveness. An evaluation notice saying your staffing approach appears risky is not an invitation to explain why the evaluator misread it. It is the government telling you where you are losing. Answer in three parts: acknowledge the concern in the government's own words, state specifically what changed in the proposal, and point to the revised page. If the concern rests on a genuine misreading, say what was unclear and fix the text so it cannot be misread again. Never argue that the evaluator should have understood. They told you they did not, and they are the ones scoring.

**Price Realism, and the Bid That Wins the Evaluation and Loses the Program**

On a best value competition the government may evaluate whether your price is realistic for the work proposed, and an unrealistically low price is a risk finding rather than a competitive advantage. It suggests you misunderstood the requirement or intend to staff it thinner than you described. The specific trap is the mismatch: a technical volume promising senior engineers and a price volume built on junior labor rates. Evaluators cross-read those volumes precisely to find that gap. The discipline is that the basis of estimate behind the price has to match the approach in the technical volume person for person, and if you decide to bid lean, the technical volume has to describe the leaner approach honestly rather than promising a team the price does not fund.

**WHAT SENIOR PMS DO DIFFERENTLY**

They read Section M before Section L and organize the proposal around the evaluation factors. They build the compliance matrix before anyone writes, and use it as the outline. They answer evaluation notices by acknowledging, changing and pointing, never by arguing. And they make the price basis match the technical approach person for person, because evaluators cross-read the volumes looking for exactly that gap.

One sentence to teach your team: **Section M is what gets scored, so read it first, build the compliance matrix before anyone writes, and organize the proposal so an evaluator can grade each factor without hunting for the evidence.**

**BUILD ON THIS**

- **Competing in Source Selection** The rest of the competition
- **Source Selection** How the government runs the evaluation
- **Building the Solicitation and the Evaluation Plan** Who writes L and M, and how

## Key Terms

### Section L

Instructions, Conditions, and Notices to Offerors. The format and packaging rules for your proposal.

### Section M

Evaluation Factors for Award. The scoring rubric the government uses to evaluate proposals.

### SSEB

Source Selection Evaluation Board. The government evaluators who score proposals against Section M criteria.

### Strength

An aspect of a proposal that exceeds requirements and provides a documented benefit to the government.

### LPTA

Lowest Price Technically Acceptable. Award goes to lowest price that meets minimum technical standards.

### Best Value

An acquisition approach where technical superiority can justify a higher price.

### Outstanding

Highest adjectival rating. Exceptional strengths, very low risk of unsuccessful performance.

### Acceptable

Meets requirements but has no strengths. Often a losing rating in competitive fields.

### Compliance Matrix

The table mapping every Section L instruction and Section M factor to where in the proposal it is answered. Built before writing, not after.

### Evaluation Notice

The government's written question during discussions, identifying a weakness or seeking clarification. How you answer often decides the award.

## Knowledge Check

Which section of the RFP contains the evaluation factors and their relative order of importance?

- A. Section C (Description/Specification)
- B. Section L (Instructions to Offerors)
- ✓ C. Section M (Evaluation Factors for Award)
- D. Section H (Special Contract Requirements)

### WHY

Section M. Evaluation Factors for Award. Is required by FAR 15.304 to disclose all evaluation factors, significant sub-factors, and their relative order of importance. This is the scoring rubric.

A proposal that violates Section L page limits can be:

- A. Penalized with a lower technical rating
- ✓ B. Rejected as non-responsive without evaluation
- C. Accepted with a CO waiver
- D. Evaluated only for the compliant portions

### WHY

Administrative non-compliance with Section L typically results in rejection as non-responsive. The CO generally has no discretion to waive these requirements in a competitive source selection.

What is an "Outstanding" adjectival rating?

- A. A proposal meeting all requirements with no weaknesses
- ✓ B. A proposal with exceptional strengths significantly benefiting the government and very low risk
- C. A proposal with one strength and no weaknesses
- D. The highest price-to-performance proposal

### WHY

Outstanding requires exceptional strengths (plural) that significantly benefit the government, very low risk of unsuccessful performance. It requires benefits well above threshold requirements.

**Under LPTA, which proposal wins?**

- A. The technically superior proposal
- B. The best value tradeoff between technical and price

✓ C. The lowest-priced proposal that meets minimum technical requirements

- D. The proposal with the highest past performance rating

**WHY**

LPTA awards to the lowest-priced technically acceptable proposal. Once technical acceptability is established, only price matters. Fundamentally different from best-value tradeoff.

**The best practice for structuring a proposal in best-value source selection is to:**

- A. Follow the SOW section by section
- B. Mirror Section L volume structure only

✓ C. Mirror Section M factor/sub-factor structure as the proposal outline

- D. Use the company standard proposal template

**WHY**

Winning proposals mirror Section M factor and sub-factor structure in section headers. This makes it easy for evaluators to find and credit strengths. Section L defines the container; Section M defines the content architecture.

**Section L and Section M conflict. What governs the evaluation?**

- A. Section L, because it is the instruction

✓ B. Section M, because it states the evaluation factors, though you must still comply with L to be responsive

- C. Whichever is longer
- D. The contracting officer decides case by case

**WHY**

The agency must evaluate against the stated factors. You still follow L's structure so the proposal is responsive.

**An evaluation notice says your staffing approach appears risky. What is the right response?**

A. Explain why the evaluator misread the proposal

**✓ B. Acknowledge the concern in their words, state what changed, and point to the revised page**

C. Ignore it and rely on the technical score

D. Lower the price

#### WHY

An evaluation notice is the government telling you where you are losing. Arguing that they should have understood does not change the score.

**Why is an unrealistically low price a problem in a best value competition?**

A. It is not; low price always helps

**✓ B. It is evaluated as risk, suggesting you misunderstood the requirement or will staff thinner than described**

C. It triggers an audit

D. It is prohibited

#### WHY

Evaluators cross-read the technical and price volumes to find the mismatch between the team promised and the team funded.

**Order the proposal build:**

#### CORRECT ORDER

1. Read Section M for what is valued and in what order
2. Read Section L for the structure and submission rules
3. Build the compliance matrix covering every instruction and factor
4. Assign owners and identify the evidence behind each claim
5. Write to the factors, then check the matrix again before submission

#### WHY

The matrix is the outline, which is why it comes before writing rather than after.

**Why organize a proposal around the evaluation factors rather than the company's preferred narrative?**

A. It is required by the FAR

**✓ B. Evaluators score factor by factor with the solicitation open beside them, and hunting for evidence loses points**

C. It makes the proposal shorter

D. It improves the price

**WHY**

A proposal an evaluator can grade without hunting is a proposal that gets credit for what it contains.

**What makes past performance count in an evaluation?**

A. The prestige of the customer

**✓ B. Relevance in scope and size to this requirement, explained explicitly**

C. Its recency alone

D. The dollar value alone

**WHY**

Relevance beats prestige. If the similarity is not explained, the evaluator is left to guess at it.

**A solicitation asks for a staffing plan and your proposal names no individuals. What is the likely result?**

A. Neutral

**✓ B. A weakness on many solicitations; name who you can and describe how the rest will be filled**

C. An automatic deficiency

D. A strength for flexibility

**WHY**

Unnamed staffing reads as risk unless the fill approach is concrete.

## CAPTURE MANAGEMENT &amp; BUSINESS DEVELOPMENT · LESSON 3

# Proposal Development & Win Strategy

14 min

*Write and review proposals that win. From compliance matrices to compelling executive summaries.*

## Proposals Are Evaluated, Not Read

SSEB evaluators often have 50+ proposals to review in 3-4 weeks. They are looking for specific evidence that requirements are met: they are NOT reading your proposal like a book. This means every proposal must be compliance-first (answer everything Section L asks), discriminator-forward (lead with your strengths), and evaluator-friendly (headers that mirror Section M factors, clear evidence, no fluff).

## Anatomy of a Winning Technical Proposal

- **Executive Summary: State your win themes and discriminators upfront, 2 pages maximum** The executive summary is often the only section some evaluators read in full. It should state your top 3-4 win themes, demonstrate understanding of the government's key challenges, and compel the reader to want to know more. Do NOT summarize the proposal structure ("Section 2 covers our management approach..."). Lead with value, not organization.
- **Technical Approach: Describe HOW you will solve the problem: specific, not generic** The most common technical volume failure is writing about what you will do rather than how you will do it. "We will provide experienced program management support" is generic. "Our PM will establish a weekly IPT cadence aligned to the government's existing review schedule, using our Earned Value reporting template from the USAFE A&AS V contract to provide identical visibility to that which the customer currently receives" is specific.
- **Management Approach: How will you staff, manage, and deliver? Show your program management process** The management volume should demonstrate that you've actually thought through execution: not just listed resumes and org charts. Include your quality management approach, staffing plan with timeline, transition plan (critical for incumbents and new entrants alike), and subcontractor management methodology. Evaluators are looking for risk: a thin management approach signals execution risk.
- **Past Performance: Analogous contracts with measurable results: quality over quantity** One highly relevant CPARS "Exceptional" rating from a closely analogous contract outweighs five "Satisfactory" ratings from peripheral work. Past performance citations should map directly to evaluation factors: if the RFP emphasizes program management support, cite contracts where you provided PM support, not your unrelated IT work. Include measurable outcomes: cost performance, schedule adherence, customer satisfaction ratings.
- **Price/Cost Volume: Realistic, well-supported pricing with clear assumptions** Unrealistically low pricing is a protest risk and an execution risk. If your price is significantly below the IGCE, the government may question your understanding of the requirement. Include clear pricing assumptions, escalation methodology,

and a staffing plan that matches your technical approach. For cost-type contracts, your cost proposal will be subject to DCAA review: ensure your accounting system can support the rates proposed.

- **Compliance Matrix: Every Section L requirement mapped to your proposal response** The compliance matrix is both a proposal tool and a management tool. Before you submit, the compliance matrix should show a green checkmark for every Section L requirement: format, page limits, content requirements, certifications. Proposals that miss a Section L requirement (e.g., required certifications, resume format, page limits) can be found technically unacceptable regardless of content quality.

#### THE DISCRIMINATOR RULE

A true discriminator is something you can do (or have done) that your competitors cannot match. "20 years of experience" is not a discriminator: every major defense firm has 20 years of experience. A discriminator sounds like: "We hold the only cleared facility for this specific testing in the continental U.S." or "Our team developed the predecessor system and holds all historical technical data." If your competitor could say the same thing, it's not a discriminator.

## Proposal Color Team Reviews

Each review is a structured quality gate. Tap any review to see who runs it, what's evaluated, what inputs are required, and what the output means for your proposal.

**Pink Team Review** 30–40% COMPLETE

First structured review: outline, approach, and early compliance

The Pink Team catches structural and strategic problems early, while the proposal is still malleable. Better to fix your outline at 30% than rewrite volumes at 85%.

**What Is It?**

The Pink Team is the first formal review, conducted when the proposal is roughly 30-40% written. Its purpose is not to red-line grammar: it's to validate that the outline, approach, and early narrative are compliant with Section L, aligned with win themes, and responsive to the customer's evaluation criteria (Section M). Structural problems caught at Pink save days of rework at Red.

**Required Inputs**

- The RFP (Sections L and M, plus the PWS/SOO/SOW)
- Proposal outline / annotated outline showing each Section L requirement and where it will be addressed
- Early draft narrative for at least the Technical and Management volumes
- Win themes and discriminators brief (from the Capture Plan)
- Compliance matrix (even if incomplete at this stage)

**Who Is Involved?**

- Pink Team Lead: usually the Capture Manager or a senior proposal manager
- Volume Leads: one reviewer per major volume (Technical, Management, Past Performance)
- Capture Manager: validates strategy alignment
- NOT the writers: reviewers should be different from authors to provide objective eyes

**What Gets Evaluated?**

- Compliance: Does the outline address every 'shall' and 'will' in Section L?
- Win theme placement: Are win themes visible in the section headers and opening paragraphs?
- Section M alignment: Does each major section address the evaluation criteria it will be scored against?
- Flow and logic: Does the narrative tell a coherent story, or is it a data dump?
- Ghost strategy: Are competitor weaknesses subtly addressed without naming competitors?

**Outputs**

- **Primary Output** Annotated outline with compliance gaps and strategy recommendations
- **Decision** Proceed to writing / Restructure required
- **Timeline** 1-2 days review + 1 day debrief and tasker assignment
- **Action Items** Specific outline changes, missing requirements, strategy adjustments

**Red Team Review** 80–90% COMPLETE

Most rigorous review: scored against Section M criteria

The Red Team is the single most important quality gate. Reviewers evaluate the near-final proposal exactly as government evaluators will, identifying everything that could cost you the award.

**What Is It?**

The Red Team is the most rigorous and consequential review in the proposal process. Reviewers approach the document exactly as a government Source Selection Evaluation Board (SSEB) would: scoring sections against the actual evaluation criteria in Section M, identifying compliance deficiencies, weaknesses, and risks. A great Red Team will tell you which specific items will cost you the award, not just what could be improved.

**Required Inputs**

- Near-complete proposal draft (80-90% written: all sections represented)
- RFP Sections L and M (mandatory: reviewers score against these)
- Compliance matrix (fully completed)
- Win themes and discriminators brief
- Competitive intelligence summary (what are competitors likely to offer?)
- Red Team evaluation scoresheet (pre-built to mirror Section M criteria)

**Who Is Involved?**

- Red Team Lead: senior reviewer who runs the session and pulls findings together (must NOT have been involved in writing)
- Subject Matter Experts: one per major technical domain; must be independent of the writing team
- Contracts/Compliance reviewer: ensures every Section L requirement is addressed
- Senior executive (optional): provides strategic perspective on win themes and discriminators
- Pricing reviewer: reviews if price strategy aligns with technical approach
- KEY RULE: No writer reviews their own section. Fresh eyes are mandatory.

**What Gets Evaluated?**

- Compliance: Every Section L requirement mapped and addressed? Any unresolved compliance issues?
- Technical merit: Is the approach sound, detailed enough, and differentiated from a generic response?
- Win themes: Are the 3-5 win themes visible, compelling, and customer-validated throughout the document?
- Ghost strategy: Does the proposal subtly contrast your strengths against competitor weaknesses without naming them?
- Past Performance: Are the examples relevant (same scope, size, contract type)? Are they well-documented with outcomes?
- Management approach: Does the proposed organizational structure and staffing plan inspire confidence?

- **Risk:** Does the proposal acknowledge realistic program risks and provide credible mitigations?

#### Outputs

- **Primary Output** Written Red Team Report with prioritized findings
- **Score Sheet** Section-by-section scores vs. Section M criteria
- **Critical Findings** Items that will cost the award if not fixed
- **Action Items** Specific revision taskers with owner and due date

**Gold Team Review** 95–100% COMPLETE

Senior leadership approval: strategy, win themes, price authorization

Gold Team is not a line-edit. It's the final strategic review by decision-makers who verify the proposal tells a compelling story and that the price strategy is sound before submission.

**What Is It?**

The Gold Team is the final senior leadership review of an essentially complete proposal. Unlike Pink (structure) and Red (compliance/quality), Gold focuses on the big picture: Are our win themes coherent throughout the document? Does the executive summary capture our best arguments? Is our price strategy competitive and defensible? Gold Team is the go/no-go for submission.

**Required Inputs**

- Near-final complete proposal (all volumes, 95%+ complete)
- Red Team report and disposition (how were Red Team findings addressed?)
- Executive summary draft
- Pricing summary / price strategy memo
- Price-to-win analysis and competitive price range
- Final compliance matrix

**Who Is Involved?**

- Division VP or Business Unit President: ultimate decision authority for submission
- BD Director or VP: validates customer relationship and strategic alignment
- Capture Manager: briefs win strategy and key discriminators
- Proposal Manager: presents proposal summary and compliance status
- CFO / Finance: approves pricing and profit margins
- Contracts VP: confirms pricing and terms are acceptable

**What Gets Evaluated?**

- Executive summary: Does it capture our three most compelling win themes clearly and compellingly?
- Overall narrative: Does the proposal tell a coherent story, or does it read like sections written by different teams?
- Price: Is our proposed price competitive? Does it reflect our PTW analysis? Are we leaving money on the table or pricing ourselves out?
- Risk decisions: Are there any compliance gaps or risky technical commitments that require executive visibility?
- Discriminators: Do our true differentiators shine through, or are they buried?

## Outputs

- **Primary Output** Submission authorization + final price approval
- **Final Changes** Only executive-level strategic adjustments (not line editing)
- **Timeline** 5-7 days before RFP due date
- **After Gold** Production: formatting, pagination, final graphics, upload

**Price Review** CONCURRENT

Cost/price volume: runs in parallel with technical volumes

Pricing is reviewed on a separate track from technical content. The Price Review validates that the proposed price is competitive (PTW), realistic (cost realism), and internally consistent with the technical approach.

**What Is It?**

The Price Review is a dedicated review of the cost/price volume and pricing strategy, run by the pricing and finance team in parallel with technical volume development. It's not a single event: it's an ongoing discipline. The Price Review culminates at Gold Team with final price authorization.

**What Gets Reviewed?**

- **Price-to-Win alignment:** Is our proposed price consistent with our PTW analysis and competitive price range?
- **Cost realism:** Can the government challenge our costs as unrealistically low? (A risk on cost-type contracts: the government may evaluate your ability to actually perform at your proposed cost)
- **Internal consistency:** Does the price volume reflect the staffing, materials, and approach described in the technical volume?
- **Labor category rates:** Are LCAT rates in line with market data and DCAA-approved forward pricing rates?
- **Wrap rates:** Are indirect cost rates (fringe, overhead, G&A) current and supported by FPRA or provisional rates?
- **Assumptions:** Are pricing assumptions documented and defensible? Will they hold up in negotiations?
- **Fee/profit:** Is the proposed fee appropriate for the contract type and risk level? Is it competitive?

**Who Is Involved?**

- **Pricing Manager / Cost Volume Lead:** owns the cost build and narrative
- **PTW Analyst:** validates price against competitive intelligence
- **Finance / Controller:** verifies rates are current and approved
- **Contracts:** ensures price narrative meets Section L requirements and is ready for negotiations
- **CFO / BD VP:** final price approval authority at Gold Team

**Outputs**

- **Primary Output** Approved cost/price volume + pricing strategy memo
- **Decision** Final price position approved by CFO/VP
- **Risk Item** Price too high → loses on cost; too low → margin destruction or future claim
- **Post-Award Pricing** assumptions become the basis for contract negotiations

**THE GHOST-DISCRIMINATE-PROVE FRAMEWORK**

Structure every key proposal section using three elements: (1) Ghost: hint at why your competitor's approach is riskier ("Unlike approaches relying on commercial hardware not designed for military environments..."). (2) Discriminate: state your advantage clearly ("Our MIL-SPEC hardened components provide 3× the MTBF of commercial equivalents"). (3) Prove: evidence that backs your claim ("demonstrated on Contract #: X, achieving 99.7% availability in deployed conditions").

**INTERMEDIATE****Running an Effective Color Review**

Mid-career capture managers know that the value of a color review is entirely dependent on the quality of the reviewers and the specificity of the feedback. Pink Team: bring in functional experts (finance, technical, past performance) who are not on the proposal team. They catch assumptions the team has normalized. Red Team: requires evaluators who can simulate the government SSEB. Ideally former contracting officers or program managers who have run source selections. The most common failure mode: Red Teams staffed with company employees who are reluctant to give negative feedback. Fix this by bringing in external Red Team members, pre-briefing reviewers on the evaluation criteria, and requiring scores on each factor using the adjectival rating scale the government will use.

**ADVANCED****WIN STRATEGY ARCHITECTURE: FROM THEME TO SECTION M SCORE**

Senior capture professionals build win strategies backwards from Section M. For each evaluation factor, ask: what would an Outstanding/Blue rating require? Then work backwards to the proposal section: what text, graphics, and proof points substantiate that claim? Then work backwards to the solution: does our technical approach actually deliver what an Outstanding rating requires? If the answer is no, the problem is the solution. Not the proposal. This "Section M backwards" discipline exposes the gap between what the proposal team wants to claim and what the technical team can actually deliver. Close that gap before the proposal starts, not during the Red Team. The most elegant proposal for a mediocre solution still loses.

**WHAT SENIOR PMS DO DIFFERENTLY**

They build the win strategy backwards from Section M, asking what evidence an Outstanding rating on each factor would require, and they staff color reviews with people who have actually evaluated proposals rather than with whoever was free that week.

One sentence to teach your team: **proposals are scored, not read, so every section should make it trivially easy for an evaluator with fifty submissions and three weeks to find the evidence that you meet the requirement and check the box.**

#### BUILD ON THIS

- **Section L vs. Section M** Instructions versus the scoring criteria
- **Competing in Source Selection** What the evaluators do with what you submit
- **The BD-to-Capture Lifecycle** The capture work that should precede the writing

## Key Terms

### Compliance Matrix

A document cross-referencing every Section L requirement against the proposal section that addresses it.

### Discriminator

A specific, provable capability or attribute that differentiates your proposal from competitors' proposals.

### Ghosting

Subtly highlighting a competitor's weakness in your proposal without naming them directly.

### Win Theme

A compelling, customer-specific message that explains why your solution best meets the customer's need.

### APMP

Association of Proposal Management Professionals. The industry organization for proposal professionals.

### Executive Summary

The first and most read section of a proposal. Must convey all win themes and discriminators concisely.

### Color Team

A staged proposal review (Pink, Red, Gold, White Glove) with a defined purpose at each stage. Reviews without specific criteria produce opinions rather than improvements.

### Strength

An evaluated feature that exceeds a requirement in a way that benefits the government. Strengths, not compliance, are what raise a rating.

### Section M

The solicitation section stating the evaluation factors and their relative importance. It is the scoring rubric, and the proposal should be architected against it.

### Storyboard

A one-page plan for a proposal section written before the prose, capturing the theme, the proof points and the graphic. It is how you avoid rewriting the section three times.

## Knowledge Check

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A compliance matrix in proposal development is used to:

A. Ensure the proposal price is competitive

✓ **B. Cross-reference every Section L requirement with the proposal section that addresses it, ensuring no requirement is missed**

C. Document the contractor's legal compliance certifications

D. Map past performance examples to technical requirements

### WHY

A compliance matrix is a cross-reference tool that maps every requirement in Section L (Instructions to Offerors) to the specific proposal section, page, and paragraph that responds to it. It ensures no requirement is missed and provides the SSEB with a navigational aid. Missing a Section L requirement is an automatic compliance deficiency.

"Ghosting" in a proposal context means:

A. Submitting the proposal without notifying the CO

✓ **B. Subtly highlighting a competitor's weakness without naming them, making evaluators consider the risk**

C. Using a subcontractor's capabilities as your own without disclosure

D. Withdrawing a proposal after submission

### WHY

Ghosting is a legal and ethical proposal technique where you allude to competitor weaknesses without naming them. For example: "Unlike approaches that rely on a single vendor for critical components, our multi-source supply chain mitigates delivery risk." This plants a risk concern in the evaluator's mind about competitors without direct attacks.

**The Red Team review of a proposal is typically conducted when the proposal is approximately:**

A. 10-20% complete (outline stage)

✓ **B. 80-90% complete (near-final draft)**

C. 100% complete (final version)

D. Before capture planning begins

**WHY**

Red Team reviews the near-final draft (80-90% complete) for full compliance with Section L, win theme effectiveness, narrative quality, and how the proposal would score against Section M criteria. Reviewing too early misses actual proposal content; reviewing too late leaves no time to incorporate feedback.

**The executive summary of a proposal is the most important section because:**

A. It is the only section evaluated by the SSEB for cost-plus contracts

✓ **B. It is the first and most read section, and must convey all win themes and discriminators concisely**

C. It determines the final proposal score under FAR 15

D. It is submitted separately from the main proposal volumes

**WHY**

The executive summary is often the only section read by senior evaluators and the SSA. If your win themes and discriminators aren't clear in the executive summary, they may never be seen. Senior leadership reads exec summaries; technical evaluators read the volumes. Write for both audiences, but get the exec summary right first.

**APMP (Association of Proposal Management Professionals) is relevant to DoD acquisition professionals because:**

A. Membership is required for all Contracting Officers

✓ **B. It is the professional community and certification body for proposal management, providing standards and training for BD/capture/proposal roles**

C. It is a government agency managing the federal procurement portal

D. It issues security clearances for proposal work

#### WHY

APMP is the international professional organization for proposal management professionals. It offers certifications (Foundation, Practitioner, Professional), best practices, training, and a community of practice. For contractors building proposal capability, APMP membership and certification signals professional-grade proposal management skills.

**When writing a proposal technical section, which approach is most effective for SSEB evaluators?**

A. Long narrative descriptions of the company's history and capabilities

✓ **B. Section headers that mirror Section M evaluation factors, with clear evidence and specific discriminators**

C. Generic quality and performance statements applicable to any program

D. Technical detail far exceeding the page limit requirements

#### WHY

SSEB evaluators use Section M criteria to score proposals. Organizing your proposal with headers that mirror evaluation factor names and subfactors makes it easy for evaluators to find your response, verify compliance, and assign credit. Proposals that bury responses in running prose make evaluators work harder; and they may not find your strengths.

**A true proposal discriminator is characterized by which quality?**

A. It applies generically to any offeror in the defense market

✓ **B. It is a specific, provable capability that competitors cannot credibly claim**

C. It focuses primarily on price competitiveness

D. It is developed during the Red Team review phase

**WHY**

Discriminators must be specific (linked to a particular capability or achievement), provable (backed by verifiable evidence), and unique (competitors cannot honestly make the same claim). Generic statements like "experienced team" or "commitment to quality" are not discriminators; they are table stakes.

**Past performance in a proposal is evaluated based on:**

A. The number of contracts listed regardless of relevance

✓ **B. The recency, relevance, and quality of demonstrated performance on similar work**

C. Years in business as the prime contractor

D. The size of contracts listed regardless of scope

**WHY**

Past performance evaluations focus on recency (within 3-5 years), relevance (similar size, scope, and complexity), and quality (CPARS ratings, customer feedback, measurable outcomes). A single highly relevant, recently completed, highly rated contract is worth more than five marginally relevant historical contracts from 10 years ago.

**In the "Ghost-Discriminate-Prove" proposal framework, "prove" requires:**

A. A legal certification from the company's general counsel

✓ **B. Specific, verifiable evidence backing the discriminating claim (e.g., contract number, metrics achieved)**

C. A competitor analysis showing their weaknesses

D. Senior executive endorsement of the win theme

**WHY**

"Prove" means providing specific evidence that your discriminator claim is real: a contract number, a measurable result (99.7% system availability), a customer quote from CPARS, or a technical test result. Claims without evidence are assertions; claims with evidence are discriminators. SSEB evaluators specifically look for substantiated claims.

**When developing a proposal management plan (PMP) for a large defense opportunity, the most critical schedule consideration is:**

A. Setting the Gold Team date as far from submission as possible

**✓ B. Working backward from the RFP due date to set Pink/Red/Gold review milestones with sufficient time to incorporate feedback**

C. Scheduling all reviews in the week before submission

D. Setting the Price review after the Technical volumes are complete

#### WHY

Effective proposal scheduling works backward from the submission due date. Gold Team needs to complete 5-7 days before due date to allow final revisions and production. Red Team needs to complete with enough time to incorporate feedback. Pink Team needs to review an outline that allows substantive volume development afterward. Compressing the review cycle is the most common proposal management failure.

**A technical section is fully compliant with every requirement and receives an Acceptable rating with no strengths. Under a best value tradeoff, what does that mean?**

A. The proposal is well positioned

**✓ B. Compliance alone cannot beat a competitor who offered evaluated strengths, so the proposal can only win on price**

C. Strengths are not scored

D. The evaluation was flawed

#### WHY

Compliance is the entry fee. Under best value, the tradeoff is made on strengths, and a proposal without any has nothing to trade.

**What makes a Red Team review valuable rather than ceremonial?**

A. Holding it as late as possible

✓ **B. Reviewers who score the draft against the actual Section M criteria as an evaluator would, rather than giving general writing feedback**

C. Having the capture manager run it

D. Reviewing only the executive summary

**WHY**

A review is only as good as the rubric it uses. Scored against Section M by outside reviewers, it predicts the real evaluation; without that, it produces style notes.

## CAPTURE MANAGEMENT &amp; BUSINESS DEVELOPMENT · LESSON 4

# Competing in Source Selection

25 min

*Understand the government source selection process from the inside. Roles, evaluation phases, discussions, and the award decision. Essential knowledge for both government PMs and industry capture teams.*

## How the Government Picks a Winner: The Source Selection Process

Source selection is the formal government process for evaluating competitive proposals and making a contract award decision. It is governed by FAR Part 15 and, for DoD, supplemented by the DoD Source Selection Procedures (2016). Understanding this process from the GOVERNMENT side is essential for both government PMs (who participate in it) and industry professionals (who must build proposals that work within it).

## Key Roles in Source Selection

### Source Selection Authority (SSA) DECISION MAKER

The decision maker

The SSA is the official who makes the final award decision. They review the SSAC recommendation and must document their independent judgment.

The SSA is typically a senior official. For major acquisitions, a General Officer, SES, or Program Executive Officer. The SSA reviews the Source Selection Advisory Council (SSAC) recommendation, the SSEB findings, and the price evaluation, then makes an independent, documented best-value tradeoff decision documented in the Source Selection Decision Document (SSDD).

### SSA Responsibilities

- **Appoint the SSEB Chair and SSAC Chair** Correct. The Source Selection Authority (SSA) appoints the SSEB and SSAC Chairs before the solicitation is released. This ensures the evaluation structure is in place and all members understand their roles before proposals arrive.
- **Approve the Source Selection Plan before solicitation release** Correct. The Source Selection Plan (SSP) defines how proposals will be evaluated, rating scales, factor weights, evaluation methodologies. The SSA must approve the SSP before the RFP is released to ensure Section M is aligned with the SSP.
- **Review the SSAC recommendation (may accept, reject, or modify)** Correct. The SSAC provides the SSA with a written best-value tradeoff recommendation. The SSA reviews but is not bound by it, the SSA may accept, reject, or modify the recommendation based on independent judgment. Rationale for any deviation must be documented.
- **Sign the Source Selection Decision Document (SSDD)** Correct. The SSDD is the SSA's written, legally defensible decision document explaining the best-value determination. It must be sufficiently detailed to withstand a GAO protest, explaining how the technical advantages of the selected offeror justified any price premium.
- **The SSDD is the legal basis for the award: it must be defensible in a protest** Correct. The SSDD is the most legally significant acquisition document. In a GAO protest, the GAO reviews the SSDD to determine whether the source selection was reasonable, consistent with stated criteria, and documented. SSDD deficiencies are the most common grounds for sustained protests.

**Source Selection Evaluation Board (SSEB)** EVALUATORS

The technical evaluators who score proposals

The SSEB is the team of technical and management SMEs who evaluate proposal volumes against Section M criteria and assign adjectival ratings.

The SSEB is organized into evaluation teams, typically one per factor (Technical, Management, Past Performance). Each team identifies Strengths, Weaknesses, Deficiencies, and Significant Weaknesses, and assigns factor-level ratings. The SSEB Chair compiles a Proposal Evaluation Report (PER) summarizing all findings.

**SSEB Finding Types**

- {'label': 'Strength', 'value': 'Exceeds contract requirements and benefits the government. Must be documented and quantified.'}
- {'label': 'Weakness', 'value': 'A flaw increasing risk of unsuccessful performance. May be correctable in discussions.'}
- {'label': 'Significant Weakness', 'value': 'Appreciably increases risk of unsuccessful performance. Can prevent Outstanding or Good rating.'}
- {'label': 'Deficiency', 'value': 'A material failure to meet a requirement or combination of significant weaknesses creating unacceptable risk.'}

**Source Selection Advisory Council (SSAC)** ADVISORY

The senior review body that recommends award to the SSA

The SSAC reviews SSEB evaluation findings, price evaluation results, conducts the comparative tradeoff analysis, and provides a written recommendation to the SSA.

The SSAC does not re-score proposals. It uses the SSEB ratings. The SSAC's job is the tradeoff: given all ratings and prices, which offeror represents best value? The SSAC must document why paying more (or less) is warranted. Their recommendation goes to the SSA but is not binding.

**Contracting Officer (CO)** LEGAL AUTHORITY

The only person with authority to bind the government

The CO manages the solicitation process, conducts discussions, and executes the contract. Only the CO can make legally binding commitments.

The CO is responsible for the integrity and legality of the source selection. Key CO actions: release the solicitation, issue amendments, manage Q&A periods, determine competitive range, conduct discussions, request Final Proposal Revisions (FPRs), and execute the award. The CO manages procurement integrity. Responsible for ensuring evaluation information is not leaked.

## The Source Selection Timeline

### Phase 1: Pre-Solicitation PLANNING

Market research, requirements definition, Source Selection Plan

The government defines requirements, conducts market research (RFIs, industry days), develops the acquisition strategy, and drafts the Source Selection Plan before releasing the solicitation.

#### Pre-Solicitation Actions

- **Market Research: RFI releases, industry days, one-on-one meetings (within procurement integrity rules)** Correct. Market research (FAR 10) must precede any acquisition. Methods include: Requests for Information (RFIs), sources sought notices, industry days, and one-on-one meetings. The goal is to understand the marketplace, identify potential offerors, and inform acquisition strategy.
- **Acquisition Strategy: Contract type, competition approach, sole source justification (if any)** Correct. The Acquisition Strategy defines: contract type (FFP, CPIF, T&M), competition approach (full and open, set-aside, sole source), source selection process (best value, LPTA), and acquisition milestones.
- **Source Selection Plan (SSP): SSA approves the SSP: defines factors, sub-factors, weights, rating scales, and the evaluation process BEFORE solicitation release** Correct. The SSP is the government's internal roadmap for the evaluation. It must be approved before the RFP is released because Section M (evaluation factors for award) must be consistent with the SSP. The SSP is not released to offerors.
- **Draft RFP (DRFP): Government may release a DRFP for industry comment before the final RFP** Correct. A Draft RFP is optional but common for complex acquisitions. Industry comments help the government identify ambiguous requirements, unreasonable restrictions, and compliance burden before finalizing. DRFP comment periods are typically 30-60 days.
- **Synopsis: Required FAR 5.203 notice on SAM.gov at least 15 days before solicitation release** Correct. FAR 5.203 requires a synopsis notice on SAM.gov at least 15 days before issuing the solicitation (for acquisitions over \$25K). The synopsis gives industry advance notice, allowing small businesses to identify teaming partners before the RFP drops.

## Phase 2: Solicitation and Proposal Preparation SOLICITATION

RFP release through proposal due date

The government releases the RFP and offerors prepare proposals. Q&As and amendments may modify requirements during this period.

### Solicitation Phase Actions

- **RFP Release: Full solicitation posted to SAM.gov. Sections L, M, C, H, I, J all released simultaneously** Correct. The final RFP is posted to SAM.gov with all attachments. Section C (SOW), Section H (special requirements), Section I (contract clauses), Section J (attachments), Section L (instructions), and Section M (evaluation factors) are all released at the same time.
- **Pre-Proposal Conference: Government may hold a conference to answer questions (not always conducted)** Correct. A pre-proposal conference is optional but common for complex acquisitions. Questions and answers from the conference must be formally documented and issued to ALL offerors via amendment, no proprietary answers.
- **Q&A Period: Written questions answered via amendment distributed to ALL offerors: no private answers** Correct. Procurement integrity requirements (FAR 3.1) prohibit private communications that give any offeror an advantage. All questions submitted in writing are answered via an amendment distributed simultaneously to all offerors. Answers received privately create protest risk.
- **Amendments: Any change to the RFP requires a formal amendment. Significant amendments may extend the due date** Correct. Any change to the RFP requires a formal amendment posted to SAM.gov. Major changes affecting the technical approach or giving offerors insufficient time to respond must be accompanied by a due date extension. Failure to extend for significant amendments is protest grounds.
- **Industry is prohibited from contacting SSEB members during this period (procurement integrity)** Correct. After the solicitation closes, the source selection is in 'blackout', industry contact with SSEB members is prohibited under procurement integrity rules (FAR 3.1 and the Procurement Integrity Act). Marketing calls or informal conversations that could influence the evaluation may constitute a procurement integrity violation.

**Phase 3: Evaluation** EVALUATION

SSEB evaluates proposals and assigns ratings

The SSEB evaluates proposals against Section M criteria. This phase is strictly government-only; all source selection information is protected.

**Evaluation Phase Actions**

- **Initial Proposal Evaluation: SSEB teams evaluate each volume, document Strengths/Weaknesses/Deficiencies** Correct. SSEB panels (typically separate panels for Technical, Management, and Past Performance) evaluate proposals against Section M criteria. Each evaluator documents Strengths (exceeds requirements), Weaknesses (needs attention), Significant Weaknesses (performance risk), and Deficiencies (fails a mandatory requirement).
- **Competitive Range Determination: CO may exclude proposals with no realistic chance of award (FAR 15.306)** Correct. After initial evaluation, the CO may establish a competitive range, excluding proposals that are technically unacceptable or so weak they have no realistic chance of award after discussions. Excluded offerors must be notified and may request a pre-award debrief.
- **Notice to Excluded Offerors: Eliminated offerors notified and may request a pre-award debrief** Correct. FAR 15.505 requires notification to offerors excluded from the competitive range. Excluded offerors may request a pre-award debrief within 3 days, the government must provide specific information about strengths, weaknesses, and deficiencies within 5 days.
- **Price/Cost Analysis: Price reasonableness and cost realism review (for cost-type contracts)** Correct. For fixed-price contracts, the CO performs price reasonableness analysis. For cost-type contracts, the CO also performs cost realism analysis, an unrealistically low cost proposal on a cost-type contract may indicate technical misunderstanding.

**Phase 4: Discussions (If Opened)** **DISCUSSIONS**

ENs, clarifications, and competitive range negotiations

Discussions are negotiations between the government and offerors in the competitive range. If the government holds discussions with one offeror, they must hold discussions with ALL in the competitive range.

The CO must inform each offeror of Deficiencies, Significant Weaknesses, and adverse past performance information. The government CANNOT tell one offeror what another offeror offered. Discussion techniques include Evaluation Notices (ENs). After discussions, the government issues a request for Final Proposal Revisions (FPRs).

**Discussions vs. Clarifications**

- {'label': 'Clarifications', 'value': 'Limited exchanges to resolve ambiguities. Do NOT open the door to proposal revisions. Used when the government decides NOT to hold discussions.'}
- {'label': 'Discussions (Negotiations)', 'value': 'Full exchanges: offerors can revise price, technical, management, and past performance volumes. Results in FPR request.'}
- {'label': 'Evaluation Notice (EN)', 'value': 'Written question from SSEB to offeror during discussions. Must address all Deficiencies and Significant Weaknesses.'}
- {'label': 'Final Proposal Revision (FPR)', 'value': 'The final document submitted after discussions. This is what gets evaluated, not the original proposal.'}

**Phase 5: Award and Debrief** **AWARD**

SSDD signature through post-award debrief

The SSA signs the SSDD, the CO executes the contract, and unsuccessful offerors are entitled to a debrief.

**Award and Post-Award Actions**

- **SSAC Recommendation: SSAC provides written best-value tradeoff recommendation to SSA** Correct. The SSAC, typically a panel of senior government officials, reviews the SSEB's individual ratings and conducts a tradeoff analysis: is the higher-rated offeror's technical advantage worth the price premium? The SSAC documents its reasoning in a recommendation to the SSA.
- **Source Selection Decision Document (SSDD): SSA signs, documenting independent best-value rationale** Correct. The SSDD is the SSA's independent best-value determination. It must articulate: (1) comparative strengths, weaknesses, and deficiencies of competing offerors; (2) the price/technical tradeoff rationale; and (3) the basis for selecting the awardee as best value.
- **Contract Execution: CO executes: award notice posted to SAM.gov** Correct. The CO executes the contract (signs the award document) and the award notice is posted to SAM.gov per FAR 5.301. The contract is legally binding upon the CO's signature on behalf of the government and the contractor's signature.
- **Unsuccessful Offeror Notifications: Required within 3 days of award (FAR 15.503)** Correct. FAR 15.503 requires postaward notifications to unsuccessful offerors within 3 days of award. This triggers the 3-day window for requesting a debrief and the 10-day window for filing a GAO protest.
- **Debriefs (FAR 15.506): Mandatory if requested within 3 days of notification. Government must reveal your ratings, strengths/weaknesses, and award rationale.** Correct. FAR 15.506 entitles unsuccessful offerors to a debrief. The government must provide: the offeror's technical ratings by factor, the overall ranking if applicable, the rationale for award, and identify specific weaknesses or deficiencies in the proposal.
- **GAO Protests: Unsuccessful offerors may protest to GAO within 10 days of debrief. CO issues a stay of performance pending outcome.** Correct. Under the Competition in Contracting Act, an unsuccessful offeror may protest to GAO within 10 days of a required debrief. A timely protest triggers an automatic stay of contract performance. GAO typically resolves protests within 100 days.

**INTERMEDIATE****Debriefs as Competitive Intelligence: Maximizing the Post-Award Debrief**

Mid-career capture professionals treat every debrief. Win or lose. As the most valuable data point in their next proposal. In a post-award debrief, the government must reveal: your adjectival ratings by factor, the awardee's ratings by factor (not their scores), significant strengths and weaknesses identified in your proposal, and the overall rationale for the best-value determination. From this data, you can reconstruct: what exactly did you score as a weakness that you thought was a strength? Where did the awardee

outperform you? Was it price, technical, or past performance? Build a debrief data log. Track every weakness across all debriefs. If you see the same weakness cited on three consecutive proposals, you have a systemic capability gap, not a proposal writing problem.

#### ADVANCED

##### GAO PROTEST STRATEGY: WHEN TO PROTEST AND WHEN NOT TO

Senior BD executives make protest decisions based on a structured analysis, not emotional reaction to a loss. Protest when: (1) the government made a clear evaluation error that is documented in the debrief (wrong ratings, failure to apply stated criteria, unequal treatment); (2) the protest has a reasonable probability of sustaining (GAO sustains ~15-20%); (3) the contract value justifies the cost and disruption of a protest (typically \$20M+); (4) a corrective action by the government (re-evaluation or re-solicitation) would change the outcome. Don't protest when: the government made the right decision and your proposal genuinely lost on the merits; the protest is designed to delay performance rather than win the contract. GAO protests are public record. A pattern of losing protests without sustaining damages your reputation with government customers.

## What Evaluators Actually Do With Your Proposal

Evaluators do not read proposals the way you wrote them. They work through a process, and knowing the process changes how you write.

- **Compliance check first** Did you follow Section L? Page limits, required sections, required forms. Non-compliant proposals can be removed before anyone reads the technical approach.
- **Evaluate against Section M, factor by factor** Each evaluator scores each factor against the stated criteria. Nothing else counts, no matter how impressive.
- **Record findings** Strengths, weaknesses, significant weaknesses, and deficiencies, each tied to a specific passage in your proposal.
- **Assign ratings** Adjectival ratings (Outstanding, Good, Acceptable, Marginal, Unacceptable) or color ratings, plus a risk rating, derived from the findings.
- **Reach consensus** Individual evaluators reconcile into one team finding per factor. Your discriminators need to survive this step, which means they must be explicit, not implied.

## The Evaluation Vocabulary

| TERM                 | DEFINITION                                                                           | WHAT IT MEANS FOR YOUR PROPOSAL                                             |
|----------------------|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| Strength             | An aspect that exceeds requirements in a way that benefits the government            | The only thing that raises a rating. Must be explicit and tied to a benefit |
| Significant strength | A strength with appreciable benefit                                                  | Usually what separates Outstanding from Good                                |
| Weakness             | A flaw that increases risk of unsuccessful performance                               | Fixable in discussions if the government opens them                         |
| Significant weakness | A flaw that appreciably increases risk                                               | Often drives a Marginal rating                                              |
| Deficiency           | A material failure to meet a requirement, or a combination of significant weaknesses | Makes the proposal unawardable as written                                   |
| Risk rating          | Assessment of the likelihood of disruption, cost growth, or degraded performance     | Evaluated separately from technical merit on many DoD source selections     |

## Best Value Tradeoff vs. LPTA, From the Bidder's Seat

Under Lowest Price Technically Acceptable, every proposal that meets the acceptability bar is equal, and the lowest price wins. Strengths do not count. Under a best value tradeoff, the government may pay more for a better proposal, and it must document why the extra benefit is worth the extra price. The Source Selection lesson in the Contracting module covers the government's choice between them. For a bidder the practical rule is: on LPTA, do not spend a dollar exceeding the requirement; on tradeoff, every dollar in the price must buy a strength the evaluators can name. Reading Section M tells you which game you are in. Writing the same proposal for both is how companies lose LPTA on price and tradeoff on merit at the same time.

### INTERMEDIATE

## Discussions and Evaluation Notices: How to Respond

If the government opens discussions, it must tell each offeror in the competitive range about its significant weaknesses, deficiencies, and adverse past performance it has not had a chance to address. Those come as Evaluation Notices. The response is not a defense; it is a repair. Answer exactly the point raised, change the proposal to remove the weakness, and show where the change is. Evaluators re-score against the revised text, so a persuasive cover letter that leaves the proposal unchanged accomplishes nothing. Also read what the ENs do not say. A factor with no ENs is either fine or has weaknesses the government chose not to raise

(it only has to raise the significant ones). Use the silence to decide where to spend your final proposal revision effort.

## Past Performance: How CPARS Enters the Room

The past performance factor is scored on two questions: how relevant is your prior work, and how well did you do it. Relevance is judged on scope, size, complexity, and recency against the requirement. Quality comes mostly from CPARS, supplemented by questionnaires sent to your references. Two things surprise first-time bidders. First, the government may use past performance information it already has, including CPARS you did not cite. Second, a company with no relevant past performance must be rated neutrally, neither favorably nor unfavorably, which is sometimes better than a mixed record. The CPAF and Award Fee lesson in the Finance module explains why CPARS outlives the contract; this is where it comes due.

## Staying in the Competitive Range

When the government plans discussions, it first narrows the field to the most highly rated proposals. Being excluded ends your pursuit before you can fix anything. The competitive range decision is made on initial proposals, so the initial submission must be compliant, complete, and free of deficiencies, even if you expect to revise later. Bidders who submit a rough initial proposal intending to "fix it in discussions" are the ones who receive the exclusion letter. If you are excluded, you are entitled to a pre-award debrief, and the timing rules for protest still apply.

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### ADVANCED

## Price Realism, Cost Realism, and Unbalanced Pricing

Three price evaluation tools trip experienced bidders. Cost realism applies to cost-reimbursement proposals: the government adjusts your proposed cost to what it believes the work will actually cost, and evaluates you on the adjusted number. A lowball cost proposal is not a discount; it is a probable cost adjustment plus a risk finding. Price realism applies to fixed-price proposals only when the solicitation says so: the government checks whether an unusually low price reflects a misunderstanding of the requirement. Unbalanced pricing is when some line items are priced far above cost and others far below, often to front-load cash; the government can reject a proposal as unbalanced if it poses an unacceptable risk. Senior pricing leads read Section M for which of these applies before building the price volume.

## Reading a Loss Debrief: Reconstructing the Tradeoff

A required debrief gives you your ratings by factor, the awardee's ratings by factor, your significant weaknesses and deficiencies, and the overall rationale. From that you can usually reconstruct the decision. If the awardee had the same technical ratings and a lower price, you lost on price and the tradeoff never happened. If the awardee had higher ratings and a higher price, the government paid for a strength you did

not offer; the rationale will name it. If ratings were the same and the awardee's price was higher, something in the best value narrative (risk, past performance, a specific strength) drove the decision, and that is the sentence to study. Senior capture leads bring written questions to the debrief and ask for the specific proposal passages behind each weakness, because "unclear approach in Volume II" is not actionable and "paragraph 2.3.1 did not explain how surge staffing would be sourced" is.

#### PROTEST TIMING AND THE AUTOMATIC STAY

A GAO protest filed within 10 days of award, or within 5 days after a required debrief (whichever is later), triggers an automatic stay of contract performance under the Competition in Contracting Act. Miss the window and the protest can proceed but the awardee keeps working, which changes the government's incentives entirely. Many losing bidders file precisely because the stay creates leverage for corrective action. This is why the debrief request itself must be made within 3 days of award notification: it preserves the enhanced timeline. Senior BD executives calendar these dates the day the award notice arrives, before deciding whether to protest at all.

#### BUILD ON THIS

- **Source Selection** The process from the government's side
- **Section L vs. Section M** The instructions and the criteria evaluators use
- **CPAE, Burn Rate & Award Fee** Why CPARS outlives the contract

#### ADVANCED

#### WHAT SENIOR PMS DO DIFFERENTLY

They treat every debrief, win or lose, as the highest-value competitive intelligence available, and they make the protest decision from the debrief record and the probability of a useful remedy rather than from how the loss felt.

One sentence to teach your team: **only strengths raise a rating, so a perfectly compliant proposal with no evaluated strengths is a proposal that can only win on price, no matter how well it is written.**

## Key Terms

### **SSA**

Source Selection Authority. The official who makes the final award decision and signs the Source Selection Decision Document.

### **SSEB**

Source Selection Evaluation Board. The team of technical and management SMEs who evaluate proposals and assign adjectival ratings.

### **SSAC**

Source Selection Advisory Council. The senior body that reviews SSEB findings, conducts tradeoff analysis, and recommends an award to the SSA.

### **SSDD**

Source Selection Decision Document. The signed document where the SSA documents the best-value rationale for the award decision.

### **EN**

Evaluation Notice. A written question from the SSEB to an offeror during discussions, required to address all Deficiencies and Significant Weaknesses.

### **FPR**

Final Proposal Revision. The revised proposal submitted by offerors after discussions are closed, which is the basis for final evaluation.

### **Competitive Range**

The set of proposals with a realistic chance of award. The CO may exclude proposals outside the competitive range before discussions.

### **SSP**

Source Selection Plan. The document approved by the SSA before solicitation release that defines evaluation factors, weights, rating scales, and the evaluation process.

### **Cost Realism**

An evaluation of whether a cost proposal reflects what the work will actually cost. On cost-reimbursement competitions the government may adjust your proposed cost upward for evaluation.

### **Automatic Stay**

The suspension of contract performance triggered by a timely GAO protest. Timing is jurisdictional, which is why the debrief clock matters.

## Knowledge Check

**Who makes the final award decision in a source selection?**

- A. The SSEB Chair
- B. The Contracting Officer (CO)

**✓ C. The Source Selection Authority (SSA)**

- D. The SSAC Chair

### WHY

The SSA makes the final award decision and signs the SSDD. The SSAC provides a recommendation, but the SSA makes an independent judgment. The CO executes the contract but does not make the selection decision.

**If the government holds discussions with one offeror in the competitive range, they must:**

**✓ A. Hold discussions with all offerors in the competitive range**

- B. Notify only the offeror with the lowest price
- C. Issue a sole source amendment
- D. Close the solicitation and restart

### WHY

FAR 15.306 requires that if discussions are held with any offeror in the competitive range, the government must hold discussions with ALL offerors in the competitive range. Selective discussions would provide an unfair advantage.

**An Evaluation Notice (EN) issued during discussions must address:**

- A. Only price issues
- B. Only strengths

**✓ C. All deficiencies and significant weaknesses identified by the SSEB**

- D. Administrative corrections only

### WHY

FAR 15.306(d) requires the CO to inform each offeror of all Deficiencies, Significant Weaknesses, and adverse past performance information. ENs are the mechanism for this.

**How many days after award notification does an offeror have to request a post-award debrief?**

✓ **A. 3 calendar days**

B. 10 calendar days

C. 30 calendar days

D. 60 calendar days

**WHY**

Under FAR 15.506, an unsuccessful offeror must request a debrief within 3 days of receiving the award notification. Missing this deadline waives the right to a mandatory debrief.

**A "competitive range determination" is used to:**

A. Set the price range for negotiations

✓ **B. Exclude proposals with no realistic chance of award before discussions**

C. Rank proposals by price

D. Determine which evaluation factors are most important

**WHY**

A competitive range determination (FAR 15.306(c)) allows the CO to exclude proposals with no reasonable chance of selection, streamlining the evaluation process. Excluded offerors receive notification and the right to request a pre-award debrief.

**What is the only type of evaluation finding that raises a proposal's rating?**

A. A weakness

✓ **B. A strength that exceeds requirements with a benefit to the government**

C. A compliant section

D. A low price

**WHY**

Compliance is the floor. Only strengths, tied to a named benefit, raise adjectival ratings.

**On an LPTA source selection, how should a bidder treat features that exceed the requirement?**

- A. Add as many as possible
- ✓ B. Avoid spending on them; strengths do not count and price decides
- C. Price them separately
- D. Describe them only in the executive summary

**WHY**

Under LPTA all acceptable proposals are equal and the lowest price wins. Exceeding the requirement only adds cost.

**You receive an Evaluation Notice citing a significant weakness. What is the correct response?**

- A. A persuasive letter explaining why the evaluators are wrong
- ✓ B. Revise the proposal to remove the weakness and show exactly where the change was made
- C. Ignore it if you disagree
- D. Lower your price

**WHY**

Evaluators re-score the revised proposal text. A defense that leaves the text unchanged does not change the rating.

**A company has no relevant past performance. How must it be rated on that factor?**

- A. Unacceptable
- ✓ B. Neutrally, neither favorably nor unfavorably
- C. Marginal
- D. It is disqualified

**WHY**

The FAR requires a neutral rating for offerors without a record of relevant past performance.

**On a cost-reimbursement competition, a bidder proposes costs well below what the work will require. What happens?**

A. It wins on price

**✓ B. The government performs a cost realism adjustment and evaluates the probable cost, often with a risk finding**

C. The proposal is automatically rejected

D. The government accepts the price and the contractor absorbs the overrun

#### WHY

Cost realism replaces proposed cost with probable cost for evaluation. Lowballing on cost-type work does not lower the evaluated price.

**To trigger the automatic stay of performance, a GAO protest must be filed within:**

A. 30 days of award

**✓ B. 10 days of award or 5 days after a required debrief, whichever is later**

C. 3 days of award

D. Any time before the contract ends

#### WHY

The CICA stay depends on timely filing. Requesting the debrief within 3 days of notification preserves the enhanced timeline.

**Order the steps evaluators follow:**

#### CORRECT ORDER

1. Check compliance with Section L
2. Evaluate each factor against Section M criteria
3. Record strengths, weaknesses, and deficiencies
4. Assign adjectival and risk ratings
5. Reconcile individual scores into a consensus

#### WHY

Compliance check, factor-by-factor evaluation against Section M, recording findings, assigning ratings, then consensus.

## CAPTURE MANAGEMENT &amp; BUSINESS DEVELOPMENT · LESSON 5

# Common Mistakes Contractors Make

14 min

*The five systematic errors that cost defense contractors contracts, relationships, and revenue. Drawn from real patterns across BD, capture, proposal, and performance operations.*

## The Five Mistakes This Lesson Covers

This lesson walks through five specific, recurring mistakes: weak pipeline strategy, ignoring the COR in favor of the CO, confusing a PWS with a SOW, getting caught flat-footed by a DCAA compliance gap, and having no recompute plan. Each one shows up again and again across defense contractors of every size. The five mistakes in this lesson are not beginner errors. They are systematic gaps in pipeline strategy, relationship management, and compliance posture that show up across defense contractors of all sizes, from small businesses to large primes. They persist because they are organizational failures, not individual ones. Fixing them requires process changes, not just awareness.

### MISTAKE #1: NO PIPELINE STRATEGY: CHASING VS. PLANNING

The most common and costly mistake: treating BD as reactive rather than strategic. Contractors who chase every opportunity on SAM.gov without a disciplined pipeline framework waste proposal resources, burn out their teams, and win at low rates. A mature pipeline strategy identifies target customers 12–18 months before RFP release, maps vehicle opportunities aligned to your NAICS codes and capabilities, and scores every opportunity by pWin before committing proposal resources. Without this, you are funding your competitor's market research. Because every proposal you submit at low pWin consumes resources that could have been focused on winnable work.

## Pipeline Discipline: What a Mature System Looks Like

- **Minimum 18-month horizon: opportunities should enter your pipeline at least 18 months before RFP, giving you time to shape requirements, build relationships, and position your solution.** Opportunities that enter the pipeline at RFP release are already shaped by the incumbent and by competitors who engaged earlier. By the time the solicitation is on SAM.gov, the smart money has already engaged with the program office, responded to the RFI, attended the industry day, and influenced at least some evaluation criteria. Late entrants compete at a structural disadvantage.
- **pWin gate: no opportunity proceeds to active capture without a documented pWin assessment. Typical thresholds: below 25% = watch only; 25–50% = selective investment; above 50% = full capture investment.** pWin is both an assessment and a management discipline. A firm that consistently pursues opportunities below 25% pWin is burning proposal resources and demoralizing its BD team. The pWin assessment should document: customer relationship quality, past performance relevance, competitive

position, incumbent status, and team strength. Unsubstantiated "gut feel" pWin estimates are not a management tool.

- **Vehicle alignment: every opportunity in the pipeline must map to a vehicle you hold or are pursuing. If you don't have the vehicle, pursuing the opportunity is premature.** Vehicle strategy is the infrastructure of pipeline strategy. If a requirement will be sourced through OASIS+ and you don't hold an OASIS+ position, you cannot bid regardless of how strong your solution is. Pipeline review should include a vehicle check for every opportunity: ensuring the firm either holds the vehicle, is pursuing it, or has an alternative path (teaming with a vehicle holder as a sub).
- **Qualification criteria: define your "no bid" criteria before you see opportunities. Common no-bid signals include incumbent with strong CPARS, requirement written around competitor capabilities, and budget not yet appropriated.** No-bid decisions are as strategically important as bid decisions. Proposing on low-pWin opportunities has direct costs (proposal labor) and opportunity costs (those resources could have been on winnable bids). Pre-defined no-bid criteria prevent the political pressure to "just submit something" from overriding analytical judgment. Typical no-bid triggers: pWin below threshold, less than 15 days to proposal, no customer relationship, no relevant past performance.

#### **MISTAKE #2: IGNORING THE COR: FOCUSING ONLY ON THE CO**

The Contracting Officer's Representative is the government's day-to-day technical interface during contract performance. And one of the most influential voices in CPARS ratings and recompute positioning. Contractors who treat the COR as an administrative checkpoint rather than a strategic relationship miss the single best source of performance feedback, requirement shaping intelligence, and past performance narrative. Build a structured engagement plan with the COR from contract kickoff. Deliver proactive status updates, document issues in writing, and ensure your PM treats every COR interaction as a performance evaluation in progress.

#### **MISTAKE #3: CONFUSING PWS AND SOW: PROPOSING THE WRONG WAY**

A Statement of Work tells you what to do in prescriptive, task-level detail. A Performance Work Statement tells you what outcome to achieve, leaving the method to the contractor. These are not interchangeable. And responding to a PWS with a SOW-style proposal (listing activities instead of outcomes) is a red flag to evaluators. It signals your team doesn't understand performance-based contracting, which is the dominant acquisition model in services. PWS-based proposals should describe your management framework, quality metrics, and how you measure and demonstrate outcomes. Not a labor hour breakdown by task.

## SOW vs. PWS: How Your Proposal Should Respond

| ELEMENT              | SOW-BASED CONTRACT             | PWS-BASED CONTRACT                                                    |
|----------------------|--------------------------------|-----------------------------------------------------------------------|
| Government specifies | Specific tasks to be performed | Performance outcomes and standards                                    |
| Contractor proposes  | How it will execute each task  | Management approach + how it will measure/achieve outcomes            |
| Evaluation focus     | Technical approach to tasks    | Quality management, metrics, and performance framework                |
| Pricing approach     | Labor category + hours by task | Outcome-based; contractor owns the "how"                              |
| Risk allocation      | Government bears method risk   | Contractor bears method risk; government bears requirements risk      |
| Common mistake       | N/A                            | Responding like an SOW: listing tasks instead of outcomes and metrics |

### MISTAKE #4: DCAA COMPLIANCE GAPS DISCOVERED AT THE WORST TIME

The Defense Contract Audit Agency conducts pre-award surveys, incurred cost audits, and forward pricing reviews that can kill a contract award or trigger costly remediation during performance. Contractors. Especially those transitioning from commercial work to cost-reimbursable contracts. Frequently discover DCAA compliance gaps only after award, when the pressure is highest. Common gaps include inadequate timekeeping systems, unallowable cost pooling, missing written policies for compensation and travel, and indirect rate structures that don't align to contract requirements. Establish a compliant accounting system before pursuing cost-type work. Engage a DCAA-savvy CPA or contracts attorney before your first cost-reimbursable award. Not after.

## Most Common DCAA Compliance Gaps: Fix Before Award

- **Timekeeping system: must capture time by contract/project daily, not estimated retroactively. DCAA requires contemporaneous timekeeping: this is non-negotiable.** DCAA's timekeeping standard is explicit: employees must record time on the day the work is performed, not reconstructed from memory at week's end. Systems that allow retroactive time entry without documented justification are flagged as inadequate. An inadequate timekeeping finding can result in withheld progress payments and loss of cost-type contract eligibility until corrected.
- **Unallowable cost segregation: FAR 31.205 identifies numerous unallowable cost categories (entertainment, alcohol, certain lobbying). These must be segregated in your accounting system before incurred cost submissions.** FAR 31.205 has 47 cost principles covering what is and isn't allowable on government contracts. Common unallowable categories: entertainment (31.205-14), contributions/donations (31.205-8), executive lobbying (31.205-22), fines and penalties (31.205-15), and costs incurred in connection

with fraud proceedings (31.205-47). These must be in separate accounting codes that are excluded from indirect rate pools and never billed to cost-type contracts.

- **Written policies: compensation, travel, and overtime policies must be in writing and consistently applied. Verbal policies are invisible to auditors and unenforceable.** DCAA auditors ask for written policies on compensation, travel, overtime, and leave as a standard part of system reviews. "We always do it this way" or "everyone knows the policy" is not acceptable: if it's not written and documented, it doesn't exist from an audit perspective. Policies must also be consistently applied: paying one employee differently from another under the same policy creates audit questions.
- **Indirect rate structure: your labor categories, overhead pools, and G&A base must align to how work is actually organized and priced. Misalignment creates audit findings that require costly restructuring mid-contract.** The indirect rate structure (overhead pools, G&A base, fringe benefit rates) must be consistent with how costs actually flow. A company that has two separate locations should typically have two overhead pools. A company that does both commercial and government work must carefully structure its G&A base to avoid cross-subsidization claims. Rate structures that are set up for convenience rather than to reflect actual cost flows create DCAA findings that require expensive restructuring.

#### **MISTAKE #5: NO RECOMPETE PLAN: LOSING WHAT YOU ALREADY WON**

Contractors routinely focus 90% of their capture energy on new business while neglecting the most winnable opportunity in their portfolio: the contract they already hold. The incumbent win rate on federal contracts is not as high as most contractors assume. And a poorly executed recompile can erase years of revenue in a single award decision. Recompete planning should begin at contract award. Not 12 months before expiration. A recompile plan documents performance wins, maintains CPARS narrative alignment, tracks staffing continuity risks, monitors competitive intelligence on challenger firms, and coordinates capture strategy with delivery teams in real time.

## Recompete Planning Timeline: Start at Award

| PHASE                | TIMING                      | KEY ACTIONS                                                                                                                        |
|----------------------|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Foundation           | Award → Month 6             | Document transition execution, establish COR relationship, baseline performance metrics, start CPARS narrative file                |
| Performance Building | Month 6 → 36                | Deliver above expectations, proactively document wins, engage COR monthly, identify staffing risks, monitor competitor positioning |
| Pre-Recompete        | 24 months before expiration | Formal recompete plan activation, competitive intelligence refresh, pricing strategy development, key personnel retention plan     |
| Active Capture       | 12 months before RFP        | Requirement shaping, customer validation, Black Hat assessment, proposal team assembly, price-to-win analysis                      |
| Proposal             | RFP release                 | Full proposal execution with incumbent advantage messaging, past performance narrative, continuous improvement story               |

### ADVANCED

#### WHAT SENIOR PMS DO DIFFERENTLY

They start the recompete plan the week of award, tracking CPARS ratings, relationship health and scope drift for the whole period of performance, because the evidence that wins a recompete is accumulated over years and cannot be manufactured in the last six months.

One sentence to teach your team: **the most winnable opportunity in your portfolio is the contract you already hold, and the contractors who lose recompetes are almost always the ones who started planning for it in the final year instead of at award.**

#### BUILD ON THIS

- **The BD-to-Capture Lifecycle** The pipeline discipline mistake number one violates
- **Subcontractor Management** The other relationship contractors underinvest in
- **DCAA & DCMA Oversight** The compliance gaps that surface at award

## Key Terms

### **pWin**

Probability of Win. An assessment of the likelihood of winning a specific opportunity, typically expressed as a percentage. Used in gate reviews to determine whether to invest proposal resources.

### **Pipeline Strategy**

A disciplined approach to identifying, qualifying, and sequencing pursuit opportunities 12–18 months before RFP release, aligned to NAICS codes, vehicle positions, and win probability thresholds.

### **CPARS**

Contractor Performance Assessment Reporting System. The government's official record of contractor performance. High CPARS ratings are essential past performance evidence for future proposals.

### **COR**

Contracting Officer's Representative. The government's day-to-day technical interface during contract performance. One of the most influential voices in CPARS ratings and recompile positioning.

### **SOW**

Statement of Work. Prescriptive task-level description of work. Tells the contractor exactly what to do.

### **PWS**

Performance Work Statement. Outcome-based description of required performance. Tells the contractor what result to achieve, leaving the method to the contractor.

### **DCAA**

Defense Contract Audit Agency. Conducts pre-award surveys, incurred cost audits, and forward pricing reviews. DCAA compliance gaps can kill contract awards or trigger costly remediation.

### **Recompile**

The process of re-competing an existing contract at expiration. Incumbents have advantages. But lose at higher rates than most contractors assume if they don't actively manage recompile risk.

### **Incurred Cost Audit**

DCAA audit of a contractor's actual costs incurred on cost-reimbursable contracts. Filed annually via the Incurred Cost Submission (ICS).

### **Forward Pricing Rate Agreement (FPRA)**

A negotiated agreement on indirect rates used in future proposals. Having one removes a recurring source of pre-award audit delay.

## Knowledge Check

**A contractor's pipeline shows 40 active opportunities, only 3 of which have pWin assessments above 40%. What does this indicate?**

A. Strong BD performance: a large pipeline maximizes win probability

Incorrect. A large pipeline without qualification exhausts proposal resources on low-probability pursuits. A \$500M pipeline with 15% average pWin is less productive than a \$200M pipeline with 40% average pWin. Quality beats volume in BD pipeline management.

**✓ B. An undisciplined pipeline strategy that is likely wasting proposal resources on low-probability pursuits**

Correct. A large pipeline with low average pWin indicates poor opportunity qualification. Every proposal costs money (people, time, B&P budget). Low-pWin proposals are expensive distractions from high-probability pursuits.

C. The contractor should increase proposal volume to improve win totals

Incorrect. Increasing proposal volume without improving win rate just increases B&P spending. The solution is better pipeline discipline, improving the quality of pursuits (higher pWin) rather than increasing quantity.

D. Normal BD operations: most opportunities in any pipeline have low pWin

Incorrect. Most early-stage opportunities have inherently low pWin because they are being tracked before the company has built a discriminating solution. As opportunities mature through the BD lifecycle (identify → qualify → shape → pursue), pWin should increase.

### WHY

A pipeline dominated by low-pWin opportunities signals reactive, undisciplined BD. Proposal resources are finite. Investing them in low-probability pursuits reduces the quality of proposals on winnable work. A mature pipeline prioritizes opportunities where the contractor has competitive advantages and validated customer relationships.

## Why is the COR more strategically important than most contractors realize?

### A. The COR has authority to award contract modifications over \$150,000

Incorrect. CORs have NO contracting authority, they cannot award, modify, or terminate contracts under any circumstances. Only the Contracting Officer (with a warrant) can award modifications. A COR who attempts to commit the government creates an unauthorized commitment.

### ✓ B. The COR is the primary author of CPARS ratings and the most influential voice in recompile positioning

Correct. CPARS ratings are the government's official record of contractor past performance. The COR typically drafts the CPARS assessment, making the COR the most influential person in determining a contractor's past performance record, a primary evaluation factor in future competitions.

### C. The COR controls the government's budget allocation for the contract

Incorrect. The COR does not control budgets. Budget allocation is the responsibility of the program Resource Manager (or Comptroller), the PM, and the financial management chain.

### D. The COR approves all invoices before the CO processes payment

Partially correct. The COR certifies that work was performed (technical verification) before the CO approves payment. The chain is: COR certifies → CO approves → Finance pays. The COR's role is technical certification, not the final financial approval.

#### WHY

The COR is the government's day-to-day technical interface and one of the most influential voices in CPARS ratings. A strong COR relationship directly impacts past performance ratings, recompile intelligence, and requirement shaping. Contractors who treat CORs as administrative checkpoints consistently underperform on recompetes.

**A solicitation uses a Performance Work Statement. How should a contractor's technical proposal respond?**

**A. Provide a detailed task-by-task breakdown with labor hours per activity**

Incorrect. A strong technical approach responds directly to each PWS task with a detailed execution narrative, including labor hours by task, specific tools and methodologies, and measurable outcomes.

**✓ B. Describe the management framework, quality metrics, and how outcomes will be measured and achieved**

Correct. The management approach section should explain the governance structure, performance metrics, quality control processes, and how the contractor will demonstrate value throughout performance.

**C. Mirror the PWS structure with a direct response to each performance standard**

Incorrect. Using the PWS structure as the proposal organization framework, with section headers mirroring PWS section numbers, allows evaluators to quickly verify compliance with every performance standard.

**D. Propose a fixed schedule of deliverables aligned to the government's task list**

Incorrect. A clear deliverables matrix, showing each PWS-required deliverable, the delivery date, the responsible person, and the acceptance criteria, demonstrates planning rigor and gives the government a ready-made performance baseline.

**WHY**

PWS-based proposals should focus on management approach, quality management framework, and how the contractor will measure and demonstrate achievement of outcomes. Responding with a task-by-task activity list (SOW-style) signals a fundamental misunderstanding of performance-based contracting and is a red flag to evaluators.

**Which DCAA compliance requirement is described as "non-negotiable" for contractors on cost-reimbursable work?**

**A. Monthly financial reporting to the contracting officer**

Incorrect. Cost-type contracts require regular financial reporting, typically monthly invoices with actual cost detail. The CO and COR monitor these reports to ensure costs are being allocated correctly and performance is tracking to plan.

**✓ B. Contemporaneous timekeeping: capturing time by contract daily, not retroactively**

Correct. DCAA requires employees on cost-type contracts to capture time contemporaneously: at the time of performance, not reconstructed after the fact. Retroactive timesheet entries are a serious accounting system deficiency. Each employee must record hours by specific contract number daily.

**C. Written compensation policies approved by the CO before award**

Incorrect as described. Compensation policies are part of the contractor's business system, not individually CO-approved per contract. Compensation must be 'reasonable' under FAR 31.205-6, but individual CO pre-approval of compensation policies is not a standard requirement.

**D. Independent audit of indirect rates by a certified public accountant**

Incorrect for most cost-type contracts. DCAA, a government audit organization, not a commercial CPA firm, performs the required audits on cost-type government contracts. However, companies without government audit history may use commercial auditors for incurred cost submissions until DCAA establishes audit jurisdiction.

**WHY**

Contemporaneous timekeeping. Capturing employee time by contract or project daily. Is DCAA's most fundamental requirement and is non-negotiable. Retroactive time estimates or after-the-fact adjustments are a primary finding in DCAA audits and can result in cost disallowances, system rejection, and contract termination.

**When should a contractor formally activate its recompetete plan?**

- A. 12 months before contract expiration, when the RFP timeline becomes clear

Incorrect. This is typically when the incumbent begins intensive recompetete positioning, the window when the government's acquisition timeline becomes visible through pre-solicitation notices and RFI releases. At 12 months, the contractor should have a preliminary proposal team and an active intelligence-gathering operation.

- B. 6 months before expiration, when the government issues a pre-solicitation notice

Incorrect. The pre-solicitation notice typically drops 6-12 months before the RFP. At this point, all potential competitors know the timeline, teaming conversations intensify, and the incumbent's positioning should be fully formed.

**✓ C. At contract award: the moment the current period of performance begins**

Correct. Sophisticated contractors begin recompetete strategy at contract award: sometimes called 'Day 1 positioning.' The first day of performance sets the trajectory for CPARS ratings, customer relationships, and technical differentiation that will ultimately determine the recompetete outcome.

- D. 30 days before proposal submission deadline

Incorrect. Beginning recompetete work 30 days before proposal submission is far too late. By this point, the proposal team should be in full production on a completed draft. 30 days out is proposal writing time, not strategy time.

**WHY**

Recompetete planning should begin at contract award. Not 12 months before expiration. The entire period of performance is recompetete positioning time. CPARS narratives, performance documentation, competitive intelligence, and staffing continuity plans all need to be built over the life of the contract, not assembled in a last-minute rush before the RFP.

**A contractor discovers during a pre-award survey that its timekeeping system does not meet DCAA requirements. What is the practical consequence?**

- A. A minor finding to fix later

**✓ B. The award can be delayed or lost, because an adequate accounting system is a prerequisite for a cost-reimbursement award, not a post-award improvement item**

- C. Only the fee is affected

- D. Nothing; DCAA has no authority

**WHY**

Accounting system adequacy is a gate. Discovering the gap during the survey means the fix happens under deadline pressure, if there is time at all.

**A solicitation uses a PWS rather than a SOW. What does that change about how the proposal should be written?**

A. Nothing; the response is the same

**✓ B. The proposal must propose an approach and measurable outcomes rather than restating prescribed tasks, because the PWS states the result required and leaves the method to the offeror**

C. The proposal should be shorter

D. Price becomes the only factor

#### WHY

Restating a PWS back to the government is the classic tell that a bidder did not understand the acquisition, and evaluators read it that way.

**Why does a CPARS rating matter more to a contractor than most performance feedback?**

A. It determines current contract fee

**✓ B. Because it is the government-wide record of past performance that future source selections will evaluate, and it persists for years**

C. It is confidential

D. It sets the wrap rate

#### WHY

CPARS follows the company into every future competition. A bad rating unchallenged is a bad rating that gets read by evaluators who never met you.

**What is the most important reason to invest in the COR relationship rather than focusing only on the contracting officer?**

A. The COR can modify the contract

**✓ B. The COR sees daily performance, writes the technical input to CPARS, and shapes the government's perception of the contractor long before the CO is involved**

C. The COR sets the price

D. The CO has no authority

#### WHY

The CO holds the authority; the COR holds the narrative. Both matter, and contractors chronically underinvest in the second.

**A contractor's pipeline lists 40 opportunities with pWin assessments on three. What is the core problem?**

A. The pipeline is too small

**✓ B. Without qualification, the list is a wish list rather than a pipeline, so B&P cannot be allocated rationally and forecasting is guesswork**

C. Too many opportunities

D. pWin is unreliable

#### WHY

An unqualified pipeline cannot be prioritized, and a pipeline that cannot be prioritized cannot drive a bid decision.

**When should recompute planning formally begin on a five-year contract?**

A. Six months before the period of performance ends

**✓ B. At award, because CPARS history, relationship investment and scope positioning accumulate across the whole period and cannot be created late**

C. After the draft RFP posts

D. At the first option exercise

#### WHY

The recompute is decided by what happened during performance. Late planning can only present evidence that already exists.

**An incurred cost submission is filed late for two consecutive years. What is the likely effect?**

A. None; the deadline is advisory

**✓ B. Increased audit scrutiny, potential withholding, and a compliance history that surfaces in future pre-award surveys**

C. Automatic termination

D. A fee increase

#### WHY

Compliance history is cumulative and visible. Small recurring lapses become the reason a later award gets held up.

CAPTURE MANAGEMENT & BUSINESS DEVELOPMENT · MODULE ASSESSMENT

# Module Assessment

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## Knowledge Check

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In the BD-to-capture lifecycle, when is the "shaping window"?

- A. After the RFP is released
- ✓ B. Before the RFP is released, when the requirement can still be influenced
- C. During proposal evaluation
- D. After award

### WHY

Shaping happens pre-RFP. Once the solicitation is out, the requirement and evaluation criteria are largely fixed.

What is the purpose of a Black Hat review?

- A. To review proposal formatting
- ✓ B. To analyze competitors' likely strategies and price positions
- C. To evaluate past performance
- D. To prepare the debrief

### WHY

A Black Hat puts the team in the competitors' seats to predict their approach and identify how to beat it.

Section L of a solicitation contains:

- A. Evaluation factors for award
- ✓ B. Instructions, conditions, and notices to offerors on how to prepare the proposal
- C. The statement of work
- D. Contract clauses

### WHY

Section L tells you how to write it; Section M tells you how it will be scored.

**Section M contains:**

A. Proposal page limits

**✓ B. The evaluation factors and their relative importance**

C. The CDRL

D. Special contract requirements

**WHY**

Section M defines the criteria evaluators score against. Every proposal claim should map to a Section M factor.

**What is a discriminator in proposal writing?**

A. Any feature of your solution

**✓ B. A feature that is important to the customer, that you offer, and that competitors cannot match or do not emphasize**

C. A lower price

D. A compliance statement

**WHY**

Discriminators are what set you apart on something the customer values. Features everyone offers are not discriminators.

**The "Ghost-Discriminate-Prove" framework means:**

A. Hide weaknesses, list features, add references

**✓ B. Raise doubt about competitors' approaches (without naming them), highlight your discriminator, and back it with evidence**

C. Write three proposal volumes

D. Submit three drafts

**WHY**

Ghosting plants a concern about the alternative, the discriminator answers it, and proof makes it credible to evaluators.

**Under a best value tradeoff, the government may:**

- A. Only select the lowest price
- ✓ B. Pay a higher price for a proposal whose additional benefits are worth it, and must document why
- C. Ignore price
- D. Select based on past performance alone

**WHY**

Tradeoff allows paying more for more, with a documented rationale. LPTA does not.

**A company with no relevant past performance must be rated:**

- A. Unacceptable
- ✓ B. Neutral
- C. Marginal
- D. Outstanding

**WHY**

The FAR requires a neutral rating, neither favorable nor unfavorable, for offerors without a relevant record.

**Which of these is the most common reason contractors lose recompetes?**

- A. Price too high
- ✓ B. Treating incumbency as an advantage and not starting recompile planning at award
- C. Too many discriminators
- D. Filing a protest

**WHY**

Incumbents lose when they assume the relationship is enough. Recompete planning starts on the day of award.

**What is the correct response to an Evaluation Notice citing a significant weakness?**

A. A letter explaining why the evaluators are wrong

✓ **B. Revise the proposal text to remove the weakness and show where the change was made**

C. No response

D. Lower the price

**WHY**

Evaluators re-score the revised proposal. A defense that leaves the text unchanged does not change the rating.

**Confusing a PWS with a SOW in a proposal typically leads to:**

A. A higher rating

✓ **B. Proposing prescriptive "how" detail when the government asked for outcomes, or vice versa, and losing points for not responding as asked**

C. A lower price

D. Automatic disqualification

**WHY**

A PWS asks for performance outcomes and lets the offeror propose the how; a SOW prescribes tasks. Answer the one you were given.

**To preserve the automatic stay of performance, a GAO protest must be filed within:**

A. 30 days of award

✓ **B. 10 days of award or 5 days after a required debrief, whichever is later**

C. 60 days of award

D. There is no deadline

**WHY**

Timely filing triggers the CICA stay, which is the main source of leverage in a protest.